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April 2021 VOL. 70, NO. 7

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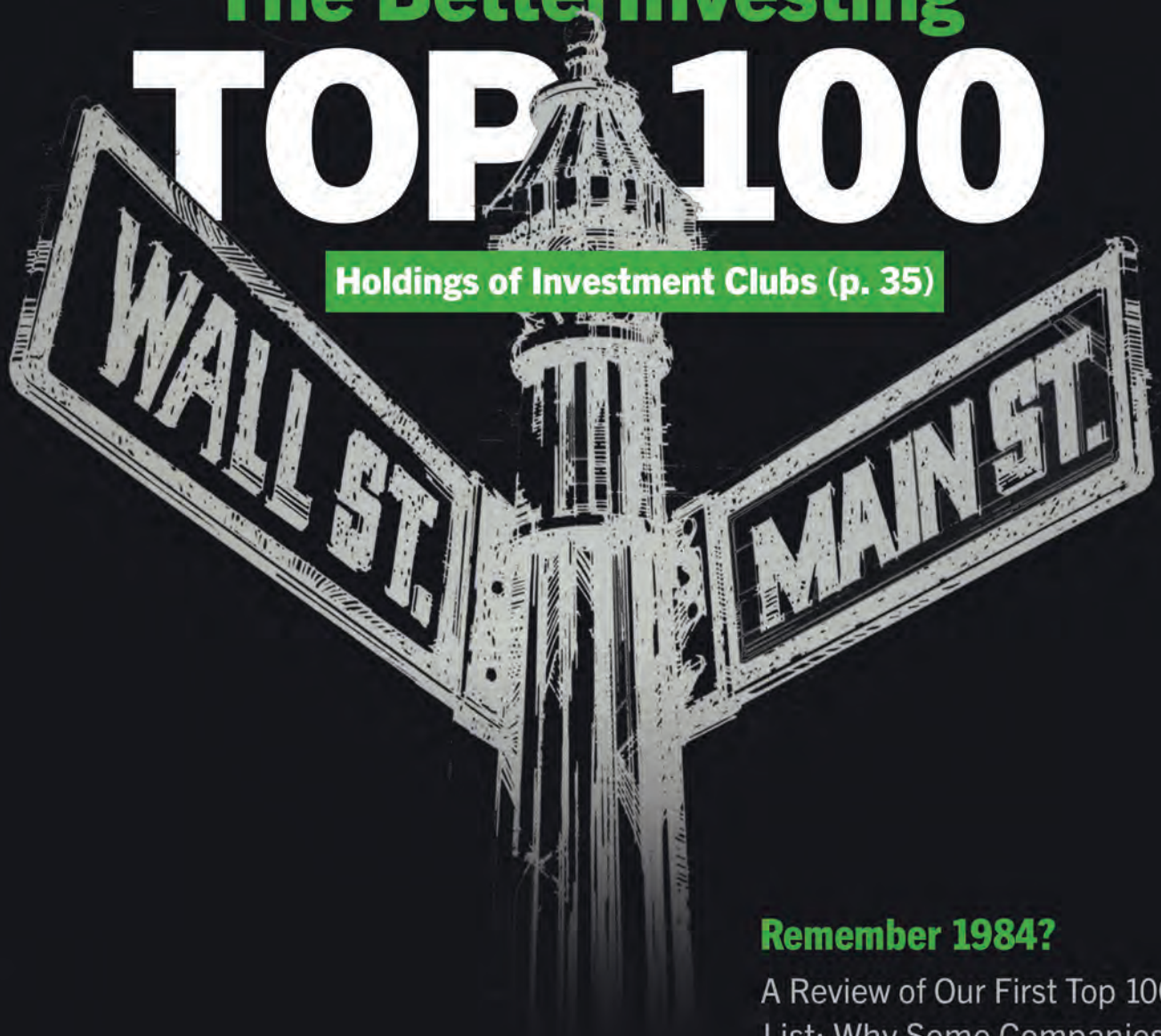
BETTERINVESTING MAGAZINE

The BetterInvesting TOP 100

Holdings of Investment Clubs (p. 35)



Remember 1984?

A Review of Our First Top 100 List: Why Some Companies Are Still Thriving While Others Are Long Gone (p. 40)

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Editor's Comments

Adjusting Company Growth Projections for a Down Year

The effects of the global pandemic and recession are difficult to quantify, but we do know that even the best-managed companies are likely to see their profits drop in 2020 and perhaps 2021. Hopefully, companies will then recover and be on to the next stage of their growth with greater consistency and predictability.

It is possible, however, to build a model to forecast a company's expected long-term results that incorporates a short-term decline. In the company updates in this issue of the ***SmallCap Informer***, I have done just that. The technique is not especially complicated, but here is an explanation that may help you inte-

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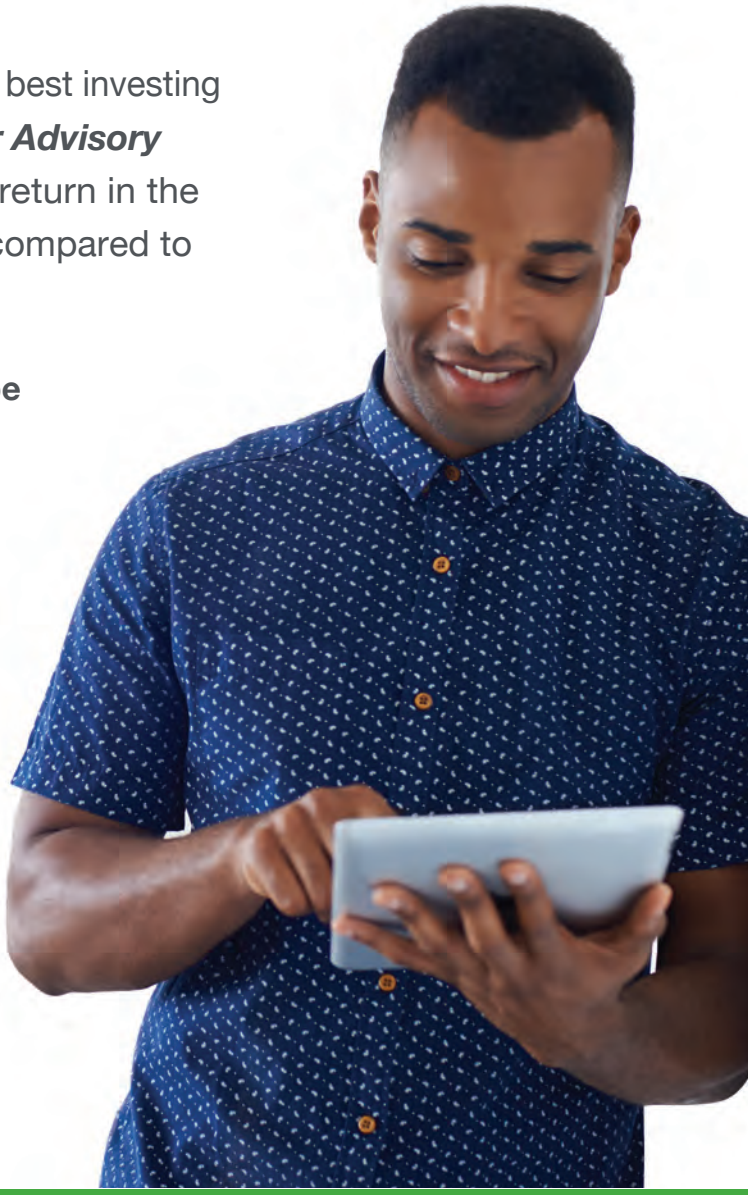

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OUR PRINCIPLES

- Invest a set amount regularly.
- Reinvest earnings, dividends and profits.
- Invest in quality growth stocks and equity mutual funds.
- Diversify your investments.

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This year's Top 100 cover pays tribute to 1984, our first Top 100 issue, a year that despite George Orwell's novel of that name was just business as usual. As a few topical stocks in our current list reveal, 2020 at times seemed like a sci-fi book we all would have liked to stop reading. But do the signs point to a rebound in optimism in 2021?

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Bay Area's Best Investing Sisters Investment Club

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T. Rowe Price Group in July became one of the first holding companies to win government approval to market new products, actively managed exchange-traded funds. Four new ETFs are on offer.

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BetterInvesting *Online*

BetterInvesting members have the opportunity to expand their learning through online classes. Please join us for the following webinars. Most webinars last from one hour to 75 minutes. Register at: **www.betterinvesting.org/webinars**

Introduction to the Stock Selection Guide Series

This series of four classes is designed to help new investors learn how to use and complete the Stock Selection Guide (SSG®), BetterInvesting's premier stock analysis tool. The CoreSSG is used throughout the series to demonstrate all concepts and complete the stock analysis. Register once for all four classes. Instructors: Ann Cuneaz, senior manager of education programs, BetterInvesting; Ken Kavula, director, Mid-Michigan Chapter, BetterInvesting.

Wednesday, March 17, 2021
8 PM EDT • Free
Class One: Selecting the Best Companies
Learn how to analyze a company's historical growth and evaluate management metrics using the CoreSSG to recognize high-quality growth stocks.

Thursday, March 18, 2021
8 PM EDT • Free
Class Two: Determining a Fair Price
Learn to read and interpret a completed SSG® to determine the potential investment return of a stock.

Tuesday, March 23, 2021
8 PM EDT • Free
Class Three: Estimating Future Growth
This class demonstrates how to make reasonable and supportable projections for future sales and earnings.

Wednesday, March 24, 2021
8 PM EDT • Free
Class Four: Estimating Future P/Es
The final session provides guidelines to help new investors make reasonable projections for future high and low P/Es and determine if the stock is a buy, sell or hold.

TickerTalk

Thursday, March 25, 2021
8:30 PM EDT • Free
TickerTalk is a monthly online program that provides essential information to help you become a more confident, better investor. Short educational segments and multiple panelists are featured each month. Every session includes **Five in Five**, a regular feature in which the panelists offer up some stock ideas that may be worthy of further study. Panelists: Carol Theine, director, NAIC/BetterInvesting's Board of Directors; Ken Kavula, director, BetterInvesting's Mid-Michigan Chapter; Ann Cuneaz, senior manager of education, BetterInvesting.

TickerTalk

Feb. 18, 2021
OnDemand • Free
TickerTalk is a monthly online program that provides essential information to help you become a more confident, better investor. Short educational segments and multiple panelists are featured each month. Every session includes **Five in Five**, a regular feature in which the panelists offer up some stock ideas that may be worthy of further study. Topics: Live Demonstration of BetterInvesting's Online Screening Tool; Understanding Fiscal Years and Data Updates and Introduction to SPAC, Special Purpose Acquisition Company. Panelists: Suzi Artzberger, director of information technology; BetterInvesting, Ken Kavula, director, BetterInvesting's Mid-Michigan Chapter; Ann Cuneaz, senior manager of education, BetterInvesting.

Why GameStop May Yet Prove to Have Educational Value

The Hazards of the Bright Shiny Things

Equity markets are never short of get-rich-quick stories, the kind that make you kick yourself for not jumping in sooner. The get-poor-quick heartbreakers, of course, are much easier to overlook. The latest lamentable saga involves GameStop, a retailer with dim future prospects due to the changing habits of video game purchasers. Once upon a time gamers visited a store to buy a copy of Minecraft, today they're downloading.

Spotting this trend, some hedge funds turned negative on the company and did what hedge funds do: took short positions, that is, borrowed GameStop shares with the promise to return them later, ideally at a lower price, pocketing the difference between the future and current price.

That's when the tale took a nasty, unexpected twist. Frequenters of the WallStreetBets subreddit social media platform, noting that GameStop had just hired a new and celebrated director, called for buying of shares. Buy, they did —much of the activity via Robinhood and other platforms — which triggered a so-called "short squeeze." In other words, short sellers scrambling to close out their positions in the light of the rising price of GameStop shares drove the stock price punishingly higher. Shares trading at about $17 at the beginning of January, rose to as high as $438 by Jan. 28.

One hedge fund, Melvin Capital Management, lost several billion dollars before closing out its positions — to expressions of glee on WallStreetBets from retail traders, some of whom expressed merriment at subverting the designs of rich professionals from the investment community. The enjoyment was short-lived as the price of GameStop shares collapsed to 10% of their previous value within six trading sessions. Robinhood, citing a trading overload, briefly suspended GameStop share purchases.

Washington is investigating.

Long-term investors such as those who read this magazine will easily dismiss GME as little more than a mad visit to the casino. The episode is worth noting for a number of reasons. Foremost is the role of social media, which grows daily as a means to inform or to mislead. Facebook and Twitter are agonizing over the competing pressures to moderate content while protecting free expression.

The headaches have just begun for investors. As apps such as Robinhood attract more and more novices, social media platforms will become entangled in stock-market controversies such as the SEC has never imagined.

For all the amateurish trading of GameStop and Robinhood devotees — and despite the questionable aim of sticking it to the hedge funds — the silver lining is that they seem to love buying and selling stock, accumulating wealth and supporting the capitalization of a company they admire. Yes, these investors don't seem to exhibit much knowledge about growth, value and other tried-and-true fundamentals of stock picking — but they have the potential to be excellent students.

View the Most Active Stock List

The Most Active Stock list is a fantastic resource showcasing the top 10 stocks that BetterInvesting members have been buying and selling over the past eight weeks. The Most Active Stock list, updated every Sunday, is an excellent place to start looking for high-quality growth companies for you or your club's stock portfolio. If you're using our powerful online stock selection tools, you can begin a stock study by simply clicking on the company's name. See the list at **www.BetterInvesting.org.**

NATIONAL ASSOCIATION OF INVESTORS CORPORATION
BETTERINVESTING™
Educating Investors Since 1951
Vol. 70, No. 7
Official Publication of the
National Association of Investors Corporation
US ISSN 0006-016X
Phone: 248/583-NAIC (6242)
BetterInvesting website: www.betterinvesting.org
Editorial email: bi@betterinvesting.org

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BetterInvesting Magazine is published 10 times per year (January/February and June/July issues are combined) by NAIC's BetterInvesting, 570 Kirts Blvd., Suite 237, Troy, MI 48084.

Subscriptions: Individual subscriptions are $35 a year or less; go to the store at the BetterInvesting website: https://www.betterinvesting.org/store/magazine

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Canada Subscriptions: Canada Post Agreement Number 1736450. Send change of address info. and blocks of undelivered copies to P.O. Box 1051, Fort Erie, ON L2A 6C7.

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Add Pandemic to the List of Crises BI Principles Successfully Surmounted

1 Year After 2020 Crash, Buy-and-Hold Investing Proven Again

by Ken Zendel, CEO, NAIC/BetterInvesting

In light of the coronavirus (COVID-19) pandemic still being very much with us, on behalf of everyone at NAIC/BetterInvesting including our chapters, I wish you and your family good health, contentment, serenity and patience.

This issue of the magazine is scheduled to arrive on your doorstep almost exactly one year from when headlines like the following appeared on major websites like Marketwatch:

"Dow plunges 3000 points, NASDAQ suffers worst day ever as coronavirus crisis slams Wall Street."

Unfortunately, fear forced some to sell at the bottom. It is difficult not to be enticed by the impossible task of trying to time the market. However, those who trust, and continue to apply, the BetterInvesting time-tested approach, including following principle No.1 to Invest Regularly, along with the notion of staying invested, were once again rewarded. And while deceptively simple, we must continue to remind ourselves of its importance.

As outlined in the editorial in the September 1981 issue of the magazine, "Investing regularly each month is likely to give you the average price in a depression and the early recovery period. That is almost certain to give you at least a 40% profit when speculation returns to the market. In addition, you will have had dividends to reinvest during that period. It takes patience to stay with a regular investment program and an understanding of what is likely to come."

Since those bleak days of March 2020, the stock market has recouped the losses mentioned in that headline and soared to new heights. Those who pulled their money out of stocks after the record drop in March missed out on subsequent immense gains. As I write, the BetterInvesting 100 Index Total Return (ticker: BIXR) has gained more than 50% since March 2020.

As reporter Mike Wendland wrote in 2000, "For fifty years now, through times of depression, inflation and recession, through bear markets and bull markets, through wars and political crises, gasoline shortages and the technology revolution, NAIC has unwaveringly held to its principles of personal investment. And those principles have never failed. Not once."

Well, it's for 70 years now; and one can add global pandemic to that list of events.

The pandemic has forced our chapters nationwide to suspend most of their in-person events, but they have done a tremendous job shifting to an online environment. While we have had to change the way we interact, this time of trepidation has revealed the greater BetterInvesting community to be resilient, supportive, and one that can rise to any challenge.

Have you taken advantage of any of the excellent webinars put on by the chapters and/or Home Office? I encourage you to check **BetterInvesting.org** for upcoming programs.

Speaking of the website, our latest enhancement to your membership experience is for those who are in investment clubs. Thanks to a lot of hard work by a few individuals at Home Office, led by Suzi Artzberger, clubs can now fully process their renewal online. This new and improved Club Renewal Calculator securely accepts credit card payments online. (Of course, clubs are welcome still to mail in their dues.) In addition to renewing online, clubs can also more easily add or delete a club member from their club roster with this enhancement.

After logging in to the BetterInvesting website, one can access this online Club Renewal at:

www.betterinvesting.org/store/membership/club-member/club-renewal

Haven't logged in to the website in a while? Next time you're there, make sure you are enrolled to receive one of the terrific benefits of membership, BetterInvesting Weekly. Reminder: BetterInvesting Weekly is available at no extra charge and is for members only. Anyone can check their email preferences once they log in (and I recommend you check yours). Simply click on "My Account" at the top of the screen. Then on the left-hand menu of the "My Account" page, click on "email and product subscription information." Once there, make sure the box is checked next to "BetterInvesting Weekly." Also, we recommend you add the email address for BetterInvesting Weekly (**community@betterinvesting.org**) to your email address book to ensure you receive this valuable member-only communication.

Your membership is vital to our ability to deliver our investment education to more and more Americans who lack basic investing knowledge. Thank you.

This pandemic has taught us to be patient in many aspects of our lives. These challenges will pass. Don't panic. And remember to invest regularly.

Ken Zendel

Performance Parameter	At 1/29/2021	5-Year Change Annualized
BetterInvesting 100 Index (BIXX)	490.44	15.09%
BetterInvesting 100 Index (BIXR — Total Return)	679.17	16.77
S&P 500 Equal-Weight Index (Total Return)	9,497.57	14.08
Vanguard Total Stock Market (CRSP U.S. Total Market)	94.39	14.53
Dow Jones Industrial Average (DJIA)	29,982.62	12.73
S&P MidCap 400 Index	2,340.12	14.01
Russell 2000 (Small-Cap Index)	2,073.64	15.50
Nasdaq Composite	13,070.70	24.48
MSCI EAFE (Europe, Australasia, Far East) Index	2,124.05	5.94
MSCI Emerging Markets Index	1,329.57	12.36
Value Line Arithmetic Composite	8,397.13	16.30
Consumer Price Index (May)	260.47	1.95

Sources: Yahoo Finance, Value Line, Bureau of Labor Statistics, MSCI, Standard & Poor's, Solactive, Google, FTSE Russell

Most Active List

Here are the companies attracting the interest of the BetterInvesting community, according to about 8,425 transactions by users of myICLUB club accounting for the trailing eight weeks ended Feb. 8.

Company (Ticker)	Buys-Sells
1. Apple (AAPL)	135-151
2. Tesla (TSLA)	85-53
3. Microsoft (MSFT)	65-37
4. Disney (DIS)	63-31
5. Pfizer (PFE)	56-34
6. Amazon (AMZN)	49-25
7. Viatris (VTRS)	26-48
8. Plug Power (PLUG)	55-17
9. Moderna (MRNA)	44-28
10. Johnson & Johnson (JNJ)	60-10
11. Walmart (WMT)	52-15
12. Alibaba (BABA)	25-40

This list is presented as a source of stock study ideas. No investment recommendation is intended.

Our thanks to ICLUBcentral for this information.

We maintain a Most Active List at BetterInvesting website's homepage, and a monthly list is published at: **www.myiclub.com**

Most Active List: Bubbling Under

Nos. 13-40 With Buy-Sell Ratio Over 2:1
Transactions for trailing eight weeks ended Feb. 8.

Company	Ticker	Buys	Sells	Total
CVS	CVS	47	17	64
NIO	NIO	59	3	62
PayPal	PYPL	37	16	53
Costco	COST	30	13	43
Adv. Micro Devices	AMD	34	7	41
AbbVie	ABBV	28	12	40
salesforce.com	CRM	31	6	37
NVIDIA	NVDA	27	10	37
Vertex Pharma.	VRTX	26	9	35
Southwest Airlines	LUV	23	11	34
DraftKings	DKNG	27	6	33
D.R. Horton	DHI	26	5	31
NextEra Energy	NEE	23	8	31
3M	MMM	22	8	30
Pinterest	PINS	25	3	28
Square	SQ	20	8	28
UPS	UPS	19	9	28
Delta Airlines	DAL	22	4	26
Merck & Co.	MRK	21	5	26
Chewy	CHEWY	18	8	26
AirBnB	ABNB	24	1	25
ARK Innovation	ARKK	23	2	25
Target	TGT	21	4	25
FedEx	FDX	19	6	25
Lowe's Companies	LOW	18	7	25
Procter & Gamble	PG	17	8	25
Teladoc Health	TDOC	19	5	24
Invesco QQQ Trust	QQQ	17	6	23

Source: myICLUB

Of the 40 stocks attracting the most interest in the BetterInvesting community in the eight weeks prior to Feb. 8, only two names were more heavily sold than bought. Viatris was one. The name is new for a company that was formed by the merging in late 2020 of Mylan with Upjohn, spun off from Pfizer. The new company's prospects are debatable; it doesn't yet pay a dividend. As a health care company, Viatris might be coming to life at a propitious moment — or it may find itself struggling in a highly competitive industry. Alibaba was the other. The Chinese e-commerce company has performed handsomely, returning more than 40% on average annually for the past five years. The company also suffered political drama due to U.S.-China trade conflict. Now Alibaba faces political drama at home due to the government's postponement of financial affiliate Ant Group's initial public offering. *(Stocks are mentioned only for educational purposes; no investment recommendations are intended.)*

You Can Save Big Bucks by Redoing Your Kitchen Cabinets Yourself

Putting Up a Good Front

by Natasha Gural

"The more you know, the more you can create. There's no end to imagination in the kitchen."— Julia Child.

The world-renowned chef was talking about preparing your own meals from scratch, but her advice lends well to home improvement projects that can elevate your passion for cooking and baking. If you shudder every time you pass by your kitchen cabinets, it's worth considering a change. While hiring a professional can be expensive, a simple do-it-yourself project like refinishing your kitchen cabinets costs a fraction of the price and delivers an abundance of satisfaction.

Such DIY projects have become increasingly popular as more people prepare meals at home. The vast majority (71%) of people said they will continue to cook at home more often after the pandemic ends, according to a new survey by consumer market research firm Hunter.

Home Depot claims, "If your existing cabinet boxes are in good condition, cabinet refacing, also known as cabinet makeover, can be an ideal, time-saving kitchen renovation option." The home improvement behemoth, with a market capitalization of nearly $300 billion, says the average cost for a cabinet refacing project is about $13,500 for 30 linear feet of cabinets (200 square foot kitchen), including materials, certified and insured installers, and project management. Interior cabinet organization, hardware, crown molding and additional cabinets will drive up that bill.

A representative for smaller rival Lowe's, with a market capitalization of around $122 billion, said the retailer stopped offering such services because the cost of refacing, or replacing fronts, is nearly equal to a full cabinet replacement. It's best to wait until you feel a full replacement is absolutely necessary or consider an affordable DIY project.

There are three primary ways to reface cabinets: refinish or paint existing cabinet and drawer fronts; install new wood or laminate veneer over existing cabinet and drawer fronts; or install new cabinet doors and drawer fronts.

The first option is the cheapest, with supplies you can easily acquire at one store.

You will need a high laminate, oil-enriched enamel formula to provide a strong, factory-like finish which is ideal for use on bare wood or previously painted wood. A gallon of Valspar Cabinet Enamel Semi-Gloss Enamel Tintable Interior Paint, which is tintable to more than 1,000 colors, is available at Lowe's for $53.98. A gallon will suffice, with plenty left over for touchups. Choose a contrasting color to create depth and make a statement with your new look.

To ensure a smooth, professional finish, consider a new brush like the Purdy XL Glide Nylon-Polyester Blend Angle Paint Brush, for sale at Lowe's for $14.48. The versatile brush is designed to work with all paints and stains, so it makes a good investment for future interior and exterior projects.

The trickiest and most timely part of the project is stripping the paint. Depending on how many layers and what type of paint was previously applied, it could require extra effort and multiple techniques. If you have a flat or simple cabinet facade design, you may be able to strip mostly with a hand sander. A wide variety of orbital sanders that work well for this job start at $39.98 and are useful for many household projects. A five-piece Craftsman ceramic alumina 120-grit disc sandpaper pack costs $6.98.

If you're refinishing older cabinets, you will likely have to strip some layers before, or in place of, sanding. Try CitriStrip Regular Stripper Paste, which is safe for indoor use without harsh fumes. A 32-ounce bottle for $12.48 may be enough. Applying with disposable gloves enables you to quickly smooth on a layer and access stubborn spots. Consider paint thinner and a rag, which you may already have in your garage or workshop for tougher spots. Take care not to harm the wood, choosing a poly fiber scrub brush, which you probably already have in your home.

Besides selecting the ideal color, new fixtures can transform your kitchen. Be sure to measure the current size of your handles to avoid drilling new holes and filling the old ones. Popular styles come in packs of 10, so you will need two for an average 20-cabinet kitchen. The Brainerd's Caroline 3-inch Center to Center Satin Nickel Arch Bar Cabinet Door Pulls cost $36.98 for a 10-pack and come in five finishes with a sleek, modern design. Most kitchens will require two packs at $73.96. You can purchase additional singles for as little as $4.08 depending on the finish you choose. They're easy to install without a power screwdriver.

Assuming you won't need additional tools or supplies, you can achieve a new look for $201.86, a massive savings over choosing Home Depot for the job. Admire your new kitchen as you invest the money saved over a professional project in your long-term portfolio. Your joy and confidence from doing the job yourself is sure to encourage better focus when researching companies.

Due Diligence

A Vaccinated Public May Boost the Economy to New Heights

What Pent-Up Demand Could Mean for Your Investments

by Thomas D. Saler

By the time the first tulips poke through the newly thawed earth, most New Year's resolutions will have been discarded or even forgotten. About half of all Americans make such promises, but fewer than 10% actually keep them (*see Websites of Interest*). But after a year like few others, there's a good chance that more of those 2021 aspirations will be pursued, with important implications for the economy, inflation and asset prices.

The COVID-19 pandemic posed an existential threat to nearly everyone. And unlike resolving to exercise more, eat better or watch less television, many of us might feel it's time to stop putting off those trips, purchases and other forms of long-deferred gratification. Such resolve followed similar threats in the past, most notably after the Great Influenza Pandemic of the early 20th century to which COVID-19 is often compared. The burst of consumer spending as the so-called (but misnamed) Spanish Flu finally began to recede in 1919 was "a classic example of what economists call 'pent-up demand'" wrote Greg Rosalsky in NPR's Planet Money. "After being deprived of being able to do something, when the constraints are lifted — whether because of the end of a recession, a war or a pandemic — people ravenously consume what was previously out of reach."

Despite a fledgling "K-shaped" recovery from the COVID recession that has widened the already yawning gap between the nation's economic haves and have-nots, many households are flush with cash thanks to government largess and having fewer places to go and things to buy.

After spiking to unprecedented levels last spring, the nation's personal savings rate still hovered at a 45-year high as of late last year. Meanwhile, the bull market in stocks had boosted the net worth of U.S. households to a record $123.5 trillion by the third quarter of 2020. The bottom line: Americans have money to spend, and are highly motivated to spend it.

In theory, more consumer spending should accelerate economic growth, thus boosting the corporate profits that underpin stock prices. But a surging economy also poses the risk of higher inflation, especially in the context of a global economy still shaken by the pandemic. The result could be a supply shock, in which the pool of goods and services is reduced due to bankruptcies and supply-chain disruptions, even as a giant wall of savings and newly minted money looks to consume what goods and services remain.

No one is suggesting that pent-up demand from consumers, combined with loose monetary policy, will trigger anything close to 1970s-style inflation. High unemployment, the slow rollout of vaccinations and the emergence of mutant strains of the novel coronavirus could keep consumer wallets firmly shut. Without continued government support, the supply shock also could morph into a disinflationary demand shock, similar to the rolling aftereffects of an earthquake. The Federal Reserve, however, has indicated a willingness to let the economy run hotter than usual, even if it causes inflation to surpass the central bank's long-sought (but rarely attained) 2% target.

And therein lies a major risk to the bullish "reflation" trade for equities, especially later in the year. Higher inflation typically brings higher bond yields, which generally draws money away from stocks. Regrettable, perhaps, but a small price to pay if it means we've gotten our lives back.

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Book Value

Advice on How to Talk Money With Family, Friends and at Work

Just Follow the Script

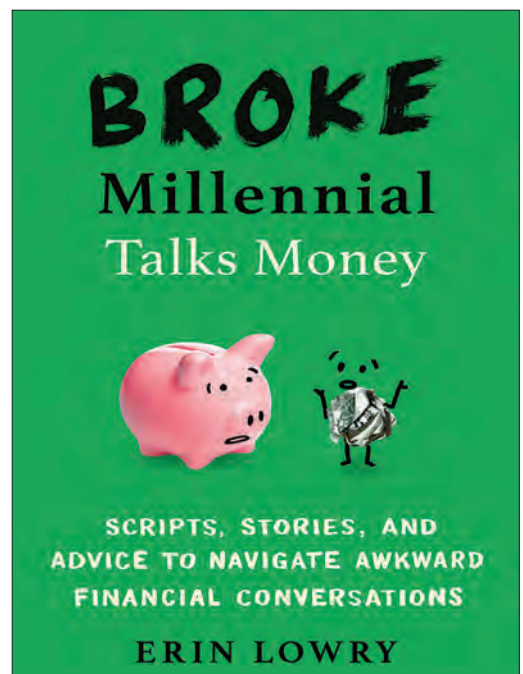
by Angele McQuade

While speaking to the media and readers about the first books in her "Broke Millennial" series (*reviewed in our September 2017 and June/July 2019 issues*), author Erin Lowry noticed more and more questions about getting through uncomfortable conversations about money. That observation led directly to her third book, "Broke Millennial Talks Money: Scripts, Stories, and Advice to Navigate Awkward Financial Conversations."

Lowry begins by asking us to list the money-related things we most want to ask, tell or talk about with others in our lives. She then teaches us a variety of techniques to improve our chances of success in those conversations, whether with co-workers, friends or family members, including parents and romantic partners. To help make these conversations easier, she offers scripts we can follow if we're ever having trouble coming up with the right words to use.

Just be sure to prepare for these talks in advance whenever possible, she advises, both by practicing the relevant scripts, but also by setting a time and place for the talk that will give the conversation its best chance to go well.

Throughout the book, Lowry includes stories from people who've dealt with these kinds of stressful conversations themselves. Not surprisingly, many of these involve situations at work, such as confronting a manager about a pay gap or negotiating salary and benefits. Her techniques and sample scripts are just as relevant to the traditionally-employed as they are to freelancers and the self-employed.



"Broke Millennial Talks Money: Scripts, Stories, and Advice to Navigate Awkward Financial Conversations," *Erin Lowry, TarcherPerigee/Penguin Random House (2020), paperback ($16) and ebook, 304 pages.*

What I liked: the section centered on asking your parents if you'll need to take care of them financially in the future. "Resist any urge to issue ultimatums to your parents based on their refusal to engage with you," Lowry advises, then offers scripts with less-polarizing tactics.

What I loved: the idea that being open with your friends, especially if there's a disparity in your financial situations, can lead to not just healthier relationships, but healthier finances, too. While there are good reasons for and against sharing salary info, she says, "you should seriously consider sharing your debt number, or at least the existence of debt, with your friends." This will not only manage expectations when you're going out together, for example, but also build in accountability for yourself.

And when it comes to those especially fraught financial dilemmas of splitting the bill at restaurants and being asked to be in a friend's wedding, never fear, Lowry's got you covered there, too.

What makes "Broke Millennial Talks Money" worth buying: the appendix, which contains every single money script in the book. About the only thing missing is scripts for talking money with your kids, but I suspect we'll be seeing those in a future "Broke Millennial" book.

Read "Broke Millennial Talks Money" if: you ever find yourself struggling to navigate sticky financial situations with your co-workers, friends, parents or romantic partner. Considering that probably describes all of us at some point, think how much easier your next money conversation could be with one of Lowry's expert scripts to guide you through it.

Websites of Interest

https://brokemillennial.com/
Twitter: @BrokeMillennial
Facebook: facebook.com/BrokeMillennial
Instagram: @ brokemillennialblog

Angele McQuade has been *BetterInvesting*'s "Book Value" columnist for over 20 years. She is the author of two books, including "Investment Clubs for Dummies." She lives near Bethesda, Maryland, where she also writes picture books and novels for children. You can find her at: www.angelemcquade.com.

Rule No. 1, Avoid Unnecessary Taxes!

Best Practices for 401(k) Rollovers

by Matt Mondoux, CFA, CFP, CMT

Do you have an old 401(k) with a previous employer's plan? Maybe you're unsure of how to go about rolling over your 401(k) or are intimidated by the process. What follows here is a general overview of how to complete a rollover process and some key considerations and pitfalls to avoid along the way.

First and foremost, you generally need to be separated from service before you can roll out your 401(k) from the employer plan — if you're over age 59.5, your plan MAY allow for an "in-service withdrawal." With that criteria met, you can rollover your 401(k) into an individual retirement plan (IRA). By rolling over the account from a 401(k) to an IRA you are making sure the money in the account is keeping its same tax-deferred status. Step 1 is making sure your IRA is open to receive the rollover funds.

Step 1 is so important because it makes sure that the rollover check is paid "to the order of" the institution where the IRA is custodied for the beneficiary (your) benefit. Commonly, a rollover check should be: Paid to the order of: *The Financial Institution* (e.g., Charles Schwab, Fidelity, Raymond James, etc.) or *For the Benefit of First Name Last Name* (e.g., your name). This process ensures you are completing a direct rollover.

Avoiding Indirect Rollovers

Naturally, you may wonder, what if the check is made payable to you, the individual, and not the institution? Then you have initiated an indirect rollover, which would have significant implications. First and foremost, the employer will likely withhold 20% of the gross amount of the rollover for taxes! Depending on the size of the IRA, that could be a large chunk. From there, you'll have 60 days to get the funds deposited into an IRA — or else the full amount becomes taxable as income AND if you're under 59.5 you will be subject to an early withdrawal penalty of an additional 10%.

Even if you can get the funds deposited into an IRA within 60 days, you will still need to come up with 20% that was withheld for tax purposes. Unless there is a strategic use for the funds with plans to get the deposit (plus withheld taxes) into an IRA in 60 days, this method would not be ideal.

When initiating a rollover from a 401(k) plan, it's a good idea to ask the plan provider/representative to confirm that 100% of the account is in pretax dollars. For a variety of reasons, after-tax money can find its way into your pretax 401(k) plan and you may or may not be aware. If there is a portion of the balance in after-tax dollars, you will want to request a second check be sent to you. Unlike the pretax check that should be made out to the financial institution (direct rollover), the post-tax check will likely be made out to you in your name. Since this portion has already been taxed, there is no tax implication for taking custody of the funds. Ideally, you'll roll these post-tax funds into a Roth IRA. But it's still important to be mindful of the 60-day rollover rule. This rollover could seed or add significant funds to your Roth account. I've stated that I'm a fan of Roth IRAs in previous articles and what's not to like about tax-free growth and distributions?

"I've stated that I'm a fan of Roth IRAs in previous articles and what's not to like about tax-free growth and distributions?"

Options to Consider

Finally, a few things you may want to think through/ask yourself when considering a rollover:

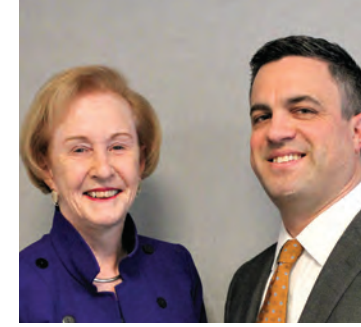
1. **Do I want to consolidate accounts** (e.g. not have multiple tax-deferred accounts held in your name)?
2. **Are there better investment options** available to me by rolling my account out of an employer plan?
3. **What services are available** under the plan versus the IRA?
4. **What** are the fees and expenses that the client would pay under the plan versus the IRA?
5. **Consider penalty-free withdrawals** between ages 55 and 59.5, plan loans, legal protections, beneficial tax treatment of employer stock, availability and quality of advice.

Be sure to consult a financial planner if you are unsure of exactly how to proceed, lest you be taxed, penalized and otherwise not get a result that you had intended.

Matt Mondoux sits on the investment committee and is an adviser at Blue Chip Partners, Inc., a privately owned, registered investment advisory firm based in Farmington Hills, Michigan. Visit www.bluechippartners.com.

Even With a Trust, You Will Still Need a Will

Living Trusts and Your Estate Plan



by Alexandra Armstrong, CFP, CRPC, and Christopher Rivers, CFP, CRPC

Last month we wrote about the importance of having a well-drafted, recently reviewed will as the foundation of an estate plan. Although we think everyone should have a will, increasingly living trusts are being used as an important tool in your estate-planning kit. In this article, we'll review what living trusts are and how they work.

Types of Trusts

Trusts are created while you're alive (intervivos) or through your will at death (testamentary). Trusts can be revocable, where you can change the terms, or irrevocable, where the terms can't be changed. The most commonly used intervivos trust is the revocable living trust.

Once you retitle your assets from your name into a revocable trust, they're removed from the probate estate but are still included in the taxable estate. Assets transferred to an irrevocable trust are taken out of both the probate and the taxable estate; the intention is that the grantor will be unable to pull back these assets.

Most people choose to establish a revocable living trust, which allows them the flexibility to change the trust's terms and retain control of the assets.

What's a Living Trust?

A living trust is a legal document that names a trustee (or trustees) whose job it is to carry out the trust's terms. Typically, you are the trustee of your own trust, thus controlling your assets as long as you're able. In the trust document, you name successor trustees who will act on your behalf should you die or are unable to manage your assets. These might be family members, friends, attorneys or trust departments of banks. The trust also lists your beneficiaries and includes instructions to the trustee as to how you want your assets managed.

Who Are the Parties Involved?

The "grantor" is the person creating the trust and placing assets in the trust. The "trustee" is the person or entity responsible for fulfilling the terms of the trust. A "successor trustee" will serve if the trustee can't or declines to serve. The "beneficiaries" are the people or organizations intended to get financial benefit from the trust.

How Does a Living Trust Work?

Once you set up a living trust, you should retitle your assets to the trust's name. For instance, if your brokerage and checking accounts are held in the name of "Alice Adams," they now will be held in the name of "Alice Adams Living Trust, Alice Adams Trustee under the Trust agreement dated April 15, 2021."

To change the registration of your accounts, you notify your broker and banker in writing of your desire to change the title on your accounts and provide them with a copy of the trust.

You then open new accounts in the name of the trust and transfer your assets from your existing accounts to the new trust accounts. Although the title of your account has changed, if you're the trustee of your own trust, you can continue to manage your accounts as you've done in the past.

Transferring real estate into the trust's name can be more complicated, as some states tax assets when you change registration. Your lawyer can advise you as to which assets should be retitled in the trust's name and which should not.

Although this process seems pretty straightforward, unfortunately we have seen some instances where our clients have paid the lawyer to put together the trust, but failed to retitle all of their assets into the name of the trust. For a living trust to work, the assets must be transferred into the trust's name.

Advantage of Living Trusts

Why should you bother to set up a living trust in addition to your will? Here are some of the key reasons individuals choose to establish a living trust:

- **Avoids Publicity.** Without a living trust, your will and the amount of your estate becomes a matter of public record. For those seeking privacy, a living trust offers a solution.
- **Speeds the Distribution of Estate Assets.** If you have put all your assets in the living trust's name, your asset distribution will be expedited because going through the probate process takes time and costs money. We find this particularly true when transferring assets in a brokerage account.
- **Helps If You Own Property in Other States.** If you own property in more than one state, the executor of your estate may be required to open probate administration in each state where property is located. If the property is in the living trust's name, this problem can be avoided.
- **Avoids Expense of Probate.** If your assets pass to your beneficiaries by a will, your estate will have to go through the probate process. This involves fees that don't have to be paid if your assets are titled in the name of a living trust.

These probate fees vary from state to state.

■ **Avoids Confusion About Whom You Want to Act on Your Behalf.** If you become incapacitated, the trust document defines that your successor trustee should handle your affairs.

Disadvantages of Living Trusts

■ **Cost to Have the Trust Prepared.** It does cost money to have a living-trust document prepared for you and transferring the assets into the trust's name may involve some fees. If you don't have that many assets and your estate is relatively small, it may not be worth the cost of setting up a living trust.

■ **No Protection From Creditors.** A revocable living trust offers no asset protection. In some states transferring your property to an irrevocable living trust can protect it from creditors. There are limitations on the protection, but this may be an advantage.

■ **No Statutory Fee Limitations.** In many cases, depending on each state, there's a statutory fee limit that cannot be exceeded in the probate process. That fee limitation doesn't exist with a trust.

> **"In some states, transferring your property to an irrevocable living trust can protect it from creditors. There are limitations on the protection."**

Is the Living Trust a Will Substitute?

Establishing a living trust doesn't obviate the need for a will. If you have some assets that aren't in the living trust's name, the will dictates what happens to these assets. If you have minor children, the will is the document in which a guardian is designated. The will is also the document in which you name the executor or personal representative of your estate.

Conclusion

In our next article we will discuss other aspects of estate planning. B

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Be Way of Online Influencers When Making Serious Financial Decisions

Investing and Social Media

by Gerri Walsh, President, FINRA Foundation and Senior Vice President, Investor Education

With zero commissions on trades and online trading platforms at our fingertips wherever we go, many investors are making investing and saving part of their routine. Investors have access to a variety of online sources to gather information to make investment decisions, from the news media to independent social media platforms to platforms associated with investment firms, among many others.

No matter where you get your trading insights, and whether you are following a recommendation to buy stocks, bonds, options or something else, know this: where there is opportunity, there is also risk. Here are some tips and resources to consider.

Consider Your Source

Independent social media platforms and some brokerage firms offer tools that analyze or aggregate information from social media sources to help investors make investment decisions. Depending on how it is presented, social sentiment information — particularly real-time discussion platforms and buy/sell indicators driven by social sentiment — can lead to emotionally-driven or impulsive investment decisions, which can be a risky way to approach investing.

Know the Rules if You Are Day Trading

Are you actively trading stocks? If so, it's important to know what it means to be a "pattern day trader" because there are requirements associated with this kind of trading. And as the SEC's Office of Investor Education and Advocacy noted in a recent Investor Bulletin, "[d]ay trading is serious business and not something you just dabble in for fun, particularly if you are using leveraged investment strategies or trading leveraged products."

Understand the Costs and Risks of Margin Investing

If you are trading in a margin account, your firm can force the sale of securities in your accounts to meet a margin call, sell your securities without contacting you, and increase its margin requirements at any time without providing you with advance notice. It's also important to know you can lose more money than you deposit in a margin account.

Know What to Expect When Trading Is Halted

Thousands of stocks are quoted and traded every day in U.S. securities markets, and most of this trading takes place without interruption throughout the day. But sometimes a stock may be subject to a short-term trading halt or longer-term trading suspension.

> **"If you seek short-term returns, do not sacrifice money you cannot afford to lose."**

Get the Basics on Options Trading

Options trading can be risky, and the options market has its own vocabulary and unique processes. *(See Websites of Interest for more information.)*

Check Your Emotions at the Door

In volatile markets it can be tempting to make rash decisions. One enduring truth about stock markets is that they go up, and they go down — and the steeper the rise or the fall, the more tempting it can be to derail a long-term strategy with a snap decision.

Stop and Take Three

Mindfulness is all the rage these days. Before you make an investment decision, be mindful of three things. First, ask yourself whether an investment aligns with your financial goals. Small dollar investments based on hype around a security might turn into big gains, but they can just as easily turn into big losses. Second, make sure your investment decision involves a level of risk you are comfortable with, and not the level of risk other people might be comfortable with. The problem with herd investing is that investing is personal: some people have the means to take risky bets, but many of us do not. Third, if you seek short-term returns, don't sacrifice money you cannot afford to lose.

Watch Your Wallet

Social media recommendations to buy the securities of a particular company may urge going all in through taking early withdrawals from retirement accounts or borrowing against one's home. Be aware that leveraging long-term assets for short-term gains can have significant consequences — from fees and taxes to risk of loss and more.

Focus on Diversification

Speaking of going all in, remember that diversification —

Continued on Page 47

Launched in 1997, California Club Has a Designated Porfolio Manager

Investing Is an Enterprise in the Bay Area

by Daniel J. Boyle, CFA

Bay Area's Best Enterprising Sisters (BABES) Investment Club of Fairfield, California, got its start in 1997 with 25-plus initial members. Today the club has nine participants, three of whom are founders. The club meets on the third Saturday of the month nine times a year, taking off July, August and December.

The pandemic has forced the club to operate virtually, but they have navigated this better than most as BABES was already set up to talk between meetings when an event happened to a holding that needed immediate attention. The monthly agenda has the typical items, including a portfolio review and the introduction of new challengers.

The club maintains a watch list of stocks used to challenge current portfolio holdings, a practice I recommend. But there isn't a regular education agenda item and I'd suggest the club add one as they have articulated various challenges that could use club discussion through education presentations.

The portfolio has 22 holdings, a high number for nine members. This can be explained by the presence of an officer the club calls a portfolio manager, a position held by Wanda Peters. The portfolio manager takes on the responsibility of fundamental research on behalf of members, gathering information about a company from Value Line, its website and other sources. She then takes this data and puts together the Stock Selection Guide.

The portfolio manager maintains this information for all club holdings and stocks on the watch list. Freed from this basic research, members have the time to follow two or three holdings each. This is an interesting approach that may or may not work for other clubs, but it seems to work well for BABES.

There is a lot to like about the club's holdings as 15 out

Bay Area's Best Enterprising Sisters (BABES) Investment Club, Fairfield, Calif.

Company	Ticker	No. shares	Cost	Jan. 8, 2021 Price	Jan. 8, 2021 Value	Gain/ (loss)	%Gain/ (loss)	Quality rating*	% Growth estimate**	% of portfolio	Trailing P/E	Trailing EPS
AeroVironment	AVAV	15	$ 1,009	$ 92.69	$ 1,390	$ 382	38	3	11	0.4	60	$ 1.54
Amazon	AMZN	5	4,628	3,182.70	15,914	11,285	244	1	34	5.0	93	34.15
Apple	AAPL	280	7,444	132.05	36,974	29,530	397	1	13	11.6	40	3.28
Costco	COST	30	1,457	369.94	11,098	9,641	662	1	10	3.5	38	9.74
Disney	DIS	35	4,015	178.69	6,254	2,240	56	1	14	2.0	N/A	(1.57)
Etsy	ETSY	20	998	175.65	3,513	2,515	252	3	28	1.1	98	1.80
Facebook	FB	45	4,182	267.57	12,041	7,859	188	1	17	3.8	30	8.78
Fastenal	FAST	10	399	50.75	508	109	27	1	12	0.2	35	1.46
Home Depot	HD	95	3,337	269.09	25,564	22,227	666	1	9	8.0	23	11.56
Intuit	INTU	149	3,259	374.46	55,795	52,536	1,612	1	13	17.6	50	7.45
IPG Photonics	IPGP	20	1,860	241.52	4,830	2,970	160	2	15	1.5	123	1.97
Jack Henry & Associates	JKHY	65	1,727	166.95	10,852	9,125	528	1	11	3.4	43	3.89
MAXIMUS	MMS	85	5,412	77.17	6,559	1,147	21	1	10	2.1	23	3.40
Norfolk Southern	NSC	42	1,889	254.04	10,670	8,781	465	1	8	3.4	28	9.17
O'Reilly Automotive	ORLY	51	1,122	477.92	24,374	23,252	2,072	1	12	7.7	21	22.39
Paychex	PAYX	25	2,271	92.02	2,301	29	1	1	7	0.7	31	2.93
PayPal Holdings	PYPL	20	2,093	242.46	4,849	2,756	132	1	20	1.5	91	2.65
PepsiCo	PEP	85	5,624	144.18	12,255	6,631	118	1	6	3.9	29	5.05
Simulations Plus	SLP	60	2,450	82.32	4,939	2,489	102	3	15	1.6	165	0.50
Tandem Diabetes Care	TNDM	20	2,234	97.59	1,952	(282)	(13)	3	20	0.6	N/A	(0.81)
Tesla	TSLA	70	2,452	880.02	61,601	59,150	2,412	3	63	19.4	1,760	0.50
Visa	V	10	1,459	215.45	2,155	695	48	1	15	0.7	44	4.86
Cash			1,387		1,387			1		0.4		
Average									17		146	
TOTAL			**$62,709**		**$317,773**	**$255,064**	**407**			**100**		

* Based largely on rankings published by Value Line.

** As estimated by the author, with data from Thomson Financial Network.

Note: Numbers in the table have been rounded.

of the 22 have more than doubled since purchase, with three returning more than 16 times their investment! The club credits its success to strong member engagement, disciplined operations, thoroughness of stock presentations and uncovering opportunities through its watch list.

BABES doesn't practice market timing, purposely keeping its cash balance low by buying in good times and bad, even if this means purchasing a very small position in a new stock. This is in keeping with core BetterInvesting principles and one needs to look no further than the club's portfolio to show off the power of "buy and hold through thick and thin."

Tesla, Amazon, Etsy, O'Reilly Automotive, Home Depot

BABES lists as challenges finding small- and mid-cap stocks, lack of representation in broad sectors/industries and when to sell holdings that have appreciated markedly. Another struggle is finding stocks in the current market that fit the BI philosophy, causing the club to stray by adding companies that are not yet profitable. These challenges are illustrated by the portfolio and its composition. I count only 5% in stocks with a market capitalization of less than $10 billion (the cutoff for a mid-cap) and little representation in the health care and financial sectors. Further, the club's aversion to selling winners has led to an unbalanced portfolio, with three stocks, **Apple (ticker: AAPL)**, **Intuit (INTU)**, and **Tesla (TSLA)**, making up half of the portfolio! At the other end of the spectrum, 10 stocks have a position of around 2% or less each and combined make up 13% of the portfolio.

This lack of diversification has introduced a substantial downside risk as a hit to only one of the three mega holdings would torpedo overall portfolio value. My top candidate for concern is Tesla, which without fitting BI principles has nonetheless yielded fantastic return. Purchased in late 2010, I commend the club for having the stomach to live with a company that has flirted with bankruptcy several times before only recently gaining enough production scale to attain modest profitability and positive free cash flow. But Tesla's market cap has blown past anything that would be considered reasonable, with expected annual earnings per share growth of 63% available for a price-earnings ratio of merely 1,760! The firm's believers have driven the value of Tesla to more than four times that of **Toyota** and more than the nine largest automakers combined. The only way to believe that Tesla is worthy of the fifth largest market capitalization of any company in the U.S. is to expect in the future that it will produce every vehicle in the global vehicle market and add other lucrative multi-billion opportunities, like self-driving vehicles to take over for taxis and solar power generation to substitute for fossil fuels. With growing competition coming from existing automakers adding electric vehicles to their lineup, I'm skeptical Tesla can maintain this valuation. I congratulate the club on its mega home run, but I'd sell and laugh all the way to the bank.

But how much to sell? My rule of thumb with portfolio management is to target a total number of stocks to get an average weight that, by definition, represents full diversification as each holding has an equal chance to succeed or fail. BABES has seven members following two or three stocks each, implying the average number of holdings would be in the 14-21 range. This implies an average position would have a weight between 5%-7%. With Tesla, I'd cut the position to at least this range and likely even further given the speculative nature of its valuation.

But what to do with all this cash? The answer is to help overall portfolio diversification by adding to some of the high quality, existing holdings that are far below the average 5%-7% weight. I propose that if a position doesn't have at least half a portfolio weight it isn't going to do much for overall return and, therefore, takes time away from following other stocks or seeking better ideas. With similar logic, I'd recommend the club establish new positions with at least a half weight, around 3%, giving new ideas a chance to turn into the next multi-bagger years from now. If monthly contributions aren't enough money for a 3% weight existing positions can be trimmed back to free up needed cash.

After Tesla, four other consumer discretionary stocks make up 22% of the portfolio. **Amazon (AMZN)** is another holding that, like Tesla, spent years at a nosebleed valuation. Even now the stock is expensive at a P/E of 93. Still, the demand for the firm's e-commerce and cloud services due to the COVID-19 pandemic has been off the charts. In response analysts have increased their long-term expected earnings growth rate to 34%, a level that is stretched as competition from **Microsoft** and **Alphabet** is intense for the firm's high margin cloud software and services. The stock's weight at 5% isn't out of line, but the club needs to carefully watch government anti-trust efforts that might derail its growth profile.

Etsy (ETSY) has carved out an e-commerce niche bringing together products around crafting, allowing buyers and sellers to exchange homemade goods as well as supplies. The club took a tiny position in late 2018, purchasing the stock at a P/E in the high 70s, a price that should have precluded purchase when following BetterInvesting guidelines. The bet has worked as the COVID-19 pandemic spurred massive growth, particularly for masks. These new customers should help sustain solid growth as analysts expect earnings to advance 28% per year. The price of the stock has raced ahead and commands a P/E of 98, suggesting a lot of upside has already been earned. With such a small weight of the portfolio, about 1%, it is hard at this price to build the position, but Etsy's opportunity is so large its probably worth a hold.

I have long admired **O'Reilly Automotive (ORLY)**. The company has built one of the largest automotive parts retailers in the U.S. through solid, organic growth supplemented with acquisitions. They have arguably the best management team that aggressively takes market share in a boring but consistently growing industry. O'Reilly has seen an acceleration of sales as customers responded to stimulus checks and enhanced unemployment benefits to work on vehicles, reversing a trend of deferred maintenance. Management's operating skill supported matching this demand with new initiatives like curbside pickup. This spurt in demand might prove temporary, but the firm's long-term prospects are solid as new stores and share buybacks can support 12% annual earnings growth.

Like O'Reilly, home improvement retailer **Home Depot, (HD)** has seen strong demand induced by the pandemic as employees working remotely needed to enhance their home work space. This spike in demand should recede if the virus is brought under control, but not entirely as working from home becomes mainstream. I think analysts are a bit pessimistic projecting only 9% annual earnings growth. The trailing P/E of 23 is reasonable if growth is faster than expected, but I'd caution the club to keep an eye on its 8% weight.

Bay Area's Enterprising Sisters (BABES) of Fairfield, California. Front row: Corinne Chavez, Lillian Dyson, Wanda Peters, Madeline Sabo-Jackson and Deborah Goncalves. Back row: Mulenga Anderson and Jacqueline Dyson. Georgia Reynolds and Rene Samii are not pictured.

Apple, Intuit, MAXIMUS, PayPal, Visa, IPG Photonics, Jack Henry & Associates, Paychex

Information technology represents 39% of the portfolio among eight stocks, but only two dominate: Apple at 12% and Intuit at 18%. Apple has been on a roll, enjoying a boost from the iPhone 12 smartphone upgrade cycle coupled with heightened demand for its Mac computers and services due to the pandemic. The stock continues to hit new highs as investors expect the good times to continue, but shares are trading at a trailing P/E of 40, a level the stock hasn't seen in years. Analysts expect annual earnings growth of 13%, about the same as the previous decade but much harder to achieve unless Apple can reverse the deterioration in its profit margin traced to its dominant product, the iPhone. This seems like a good time to lighten the position to a normal weight.

Intuit has been a great holding for the club and a perfect example of applying BI principles. The company has focused on the mass consumer market for its leading offerings: TurboTax to help individuals prepare their income taxes and QuickBooks to track income and expenses for small business. Its December 2020 acquisition of Credit Karma was expensive, a purchase price of roughly 24x anticipated 2021 sales, but access to 100 million new customers for cross selling applications and marketing new services is a fit. But a P/E of 50 for a business expected to grow its earnings 13% per year is too expensive, especially for such a large position. Cutting the holding to a normal weight is prudent.

Because the remaining six information technology stocks represent only about 9% of the portfolio, I decided to break them into three groups: Build Now, Hold and Build Later and Upgrade. One stock is in the Build Now category: **MAXIMUS, (MMS)**. The company is a leading provider of outsourcing services to governments focused on health care benefits, including Medicare and Medicaid administration. Sales growth has been strong the past few years, but some of this has come at lower profit margin, an area to watch. With the politics in Washington favoring government backed health care the future will likely be better than analyst estimates of 10% yearly earnings growth. Shares are reasonably priced, supporting additional purchase.

PayPal (PYPL) and **Visa (V)** both fit in the Hold and Build Later category. Payments is a rapid growth area and both businesses should continue strong mid-to-upper double-digit earnings growth. Unfortunately, their val-

uation is stretched, especially PayPal, but part of this is due to temporarily depressed earnings due to the pandemic. I'd recommend the club add to the positions on share weakness.

The club should look for upgrades for **IPG Photonics (IPGP)**, **Jack Henry & Associates (JKHY)** and **Paychex(PAYX)**. These are solid businesses, but their growth is too slow or valuation too high to warrant building their positions. I'd recommend the club study **Concentrix (CNXC)** and **Cboe Global Markets (CBOE)** as challengers.

Costco, Pepsico, Facebook, Disney

Two consumer staples stocks make up 7% of the portfolio. **Costco (COST)** has gotten a boost from the pandemic as consumers increase purchases for their home-centric lifestyle. Shares have been bid up and annual expected earnings growth of 10% per year isn't robust. But the path of COVID-19 is unknown and consumers may continue nesting at home for a while. I'd recommend the club hold on to the position, but if shares don't continue rising think about an upgrade. The other stock in the sector, **PepsiCo (PEP)**, isn't growing earnings fast enough to justify its high 20s P/E. Even though the stock has a more than 2x gain, the club has held it for over 20 years with an annual appreciation only in the low single digits. Time to move on.

Two stocks in the communication services sector make up 6% of the portfolio. **Facebook (FB)** is the leading social media platform and, therefore, poster child for societal angst as all sides of the political spectrum target the business for its divisiveness. Regulators are examining the company for uncompetitive practices, like monopolistic behavior in acquisitions like Instagram. Still, Facebook continues to expand and grow as its reach provides businesses with the ability to locally target customers. Opportunities for new services such as Facebook Marketplace and Payments should continue to support analysts expected 17% annual earnings growth. A P/E of 30 is reasonable. The club may want to build up the current position.

On the surface **Disney (DIS)** looks stressed as the pandemic has shut down its theme parks and blockbuster movie business. But shares have reacted well to the new Disney+ streaming service as subscriber growth outstripped expectations. I'm not a fan of companies suffering huge losses to transform their business, but the Disney franchise is so pervasive I believe the company will do well. The club might want to add to the position on weakness.

Fastenal, Norfolk Southern

The five remaining club stocks are in the industrial and health care sectors and combined make up just 6% of the portfolio. The one I like the most is **Fastenal (FAST)**, the leader in providing industrial products to small and mid-sized businesses. The pandemic has hurt its higher-margin fastener product line, but Fastenal has done a nice job pivoting to personal protection equipment to keep its customers producing during the pandemic. Valuation is stretched at a P/E of 35, but earnings should rebound. I'd recommend the club buy up to a normal weight. Three of the other four holdings are smaller companies that might have interesting futures but are not BI stocks. Finally, **Norfolk Southern (NSC)** isn't growing fast enough for my taste.

Dan Boyle, CFA, is vice president of the investment management firm Provident Investment Management, Inc. (www.investprovident.com), Novi, Michigan. He's a member of the magazine's Editorial Advisory and Securities Review Committee and co-author of the Investor Advisory Service newsletter. The author and/or clients of his firm may have positions in some of the stocks mentioned in this article. No investment recommendations are intended.

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Club Confidential

New Younger Members Ease Transition Into Online Programs

WARP Drive: A Race to Embrace New Technology

by Cindy Kelley, Production Coordinator, BetterInvesting

It's exciting watching the changes unfold when it comes to improving our club! As you know, at the end of last year we had four new members join us. All of them are considerably younger than most of the rest of us and it's resulted in some nice improvements.

These young women are committed new members who are determined to bring us into the 21st century. It's important to note that we older WARPed women haven't been operating the club with a quill and inkwell, we've moved the club forward as the tech improved and processes changed. But these young women are so adept with current tools and technology it's very impressive.

I've been working with computers and I've been in the ever-evolving tech world for many years. I'm certainly not someone who's had tech in her life from the get-go. These young women certainly have. It's obvious when interacting with someone younger that computers have been a part of life since the beginning. These gals have taken us up a notch in this arena for sure.

The most useful improvement has been the addition of a Google Drive folder for the club. I don't work in the Google world, I don't have a Gmail address, I don't use the Google apps as my default. I'm an Outlook user at work, have my personal email tied to Comcast and use Microsoft Office as my software of choice for common business tasks. On top of that both of my daughters would tell you I've actively resisted being dragged into this Google world. In terms of club operation, I'll admit that wasn't the best choice! The club has now taken nearly all club operations online and we're looking forward to even smoother club ops as we continue.

There are a few examples I'd like to share. WARP uses a stock information form each month. It's a chart that outlines each equity we own, who the stockwatcher is, when stock was first purchased, pertinent data referencing hold zone, previous month's price, estimated future EPS, etc. It also contains empty cells for inputting current data on price, P/E and whether it's rated as a buy, hold or sell by the watcher. We like it for the snapshot it offers of the total club portfolio. This form has now been transferred to a Google Sheet and each member can collaborate in real time to input the data online. No more paper form! It's a wonderful new process to use and it's been helpful at the most recent meetings when we've shared it on the screen.

We now also have a link to our contact sheet in the Google Drive. Again, with a quick click-through a member can arrive at this document and find information she needs for reaching out to anyone in the club. It's so fast and easy to view and we now all know where and how to find this information easily. Fantastic.

Another component now found in our Google Drive is our stock assignment sheet. One of our dynamic new members created this sheet after we recently exchanged our stock following responsibilities. This sheet will track who has what equity, the duration of each exchange and the history of the stock assignments. An especially useful tracking tool.

A third new asset for our Google Drive is in the works right now. As I said, we exchanged stocks at our last meeting, as well as nominated and elected new officers. I volunteered to become secretary. It's an important responsibility for the club, but also one of the more intensive as it requires not just taking notes, but distributing and storing them as well. I accepted the duties when a couple of the new members offered to create a template for me to use at each meeting. This form too will be hosted in the Google Drive folder (yes, thank you again to the new members). I'm excited for this tool because it will streamline our processes yet again. I'll be able to take notes right from within the drive and host them in the same space. Each member will receive the link to follow for accessing each meeting's minutes and will be able to find them in a well-defined place each time. Technology at its finest.

As long as we continue to meet online each meeting, we accept that technology needs to become one of our best friends. The improvements I've described are just some of the changes in store for us, I'm sure. We will continue to look for other improvements as we go. We are constantly looking for ways to streamline our meetings and make life easier for members. Embracing tech is a great way to accomplish this objective.

Many club members learned about investing and the BetterInvesting method quite a few years before the organization itself began embracing online tools and tracking. Today we're embracing tech like never before. We now do our club accounting online (myICLUB), we've put our communications online (Google Drive), we exchange funds with an app (Venmo), and we make trades through a website (Ameritrade). I think we can be proud of our progress and we will continue our journey together as a cohesive team using and embracing the technology we have at our fingertips. It's such an amazing thing!

Wishing you continued success, and of course, better investing!

Company Is One of the First to Launch Actively Managed ETFs

T. Rowe Price Group, Inc.

T. Rowe Price Group, Inc. (ticker: TROW) recently became one of the first financial services holding companies to market a newly approved variety of exchange-traded fund. The offerings could help it better compete in an industry that's increasingly dominated by providers of low-cost investment products.

In August the company introduced four "semi-transparent" ETFs that are actively managed — Blue Chip Growth, Growth Stock, Dividend Growth and Equity Income. ETFs historically have been passive investments containing the same financial instruments that constitute a chosen benchmark index. They carry lower management fees that investors must pay. Compared with traditional mutual funds, ETF shares have continuous daily trading; real-time, market-determined pricing; and better tax efficiency.

In July Price announced it had obtained final approval for the launches from the U.S. Securities and Exchange Commission. The SEC began opening the way in April 2019, allowing investors access to actively managed funds within an ETF format.

Mutual Fund Major. T. Rowe Price is among the largest mutual fund marketers in its industry. It also offers four new actively managed ETFs.

The company's products consist primarily of actively managed and target-date, or life-cycle, mutual funds. Price has had success attracting customers partly because of the strong performance of many products. Over the past five years, for example, 69% of its mutual funds outperformed category averages reported by the financial data service Morningstar.

Price continues, however, to face intense pressure from competitors offering low-cost ETFs and traditional mutual funds that similarly are passively managed.

In early February, when members of the Editorial Advisory and Securities Review Committee selected Price as the Stock to Study, common shares were near their 52-week high (*see table*). The stock nevertheless bore a valuation below the historical average and its industry's average.

At its $160.54 close on Feb. 4, the stock was 5% below the 52-week high of $169.00 reported on Jan. 28, 2020. Its trailing 12-month price–earnings ratio was 16.1 (*see table*); the ratio for the S&P's 500 Index was 39.4.

CSIMarket, a financial data service, set the TTM ratio average for the investment services industry at 52.6. The price-earning average was 21.1 for Price and three competitors named by Morningstar, based on figures Yahoo Finance reported.

For P/E to projected growth, or PEG, Yahoo Finance reported a ratio of 1.6, based on an average five-year expected earnings growth rate. A range of 1.0 to 1.5 is generally considered desirable.

Price has increased its quarterly cash dividend for 34 consecutive years. In February the company raised the quarterly dividend 20% to $1.08 from $0.90, resulting in an annual dividend yield of 2.7%.

BetterInvesting is profiling T. Rowe Price for educational purposes only. No investment recommendation is intended. The Stock to Study goal is a doubling in investment value (market price appreciation plus dividends) within five years.

Corporate Accounts

Price manages private accounts, provides retirement planning products and offers brokerage and trust services. Its chief business consists of collecting fees for managing the extensive Price family of no-load mutual funds.

Third-party financial intermediaries such as financial advisers who guide their clients to Price funds account for a substantial proportion of assets under management. Institutional investors and defined contribution retirement plans are additional distribution channels. Price also markets directly to individual investors.

The company serves clients in 51 countries. Investors living outside the United States owned 9.3% of total assets under management at the close of fiscal 2020 (ended Dec. 31, 2020). Outside the U.S., the United Kingdom is the most prominent source of business. Price recently opened new offices in Sweden, Australia and Dubai.

The company reported overseeing $1.5 trillion in assets under management at year-end 2020. That was up 21.9% from $1.2 trillion the year before. The level of assets under management is one of its key growth barometers; net revenues from percentage-based fees grow as assets under management increase.

For assets under management at year-end 2020, a breakdown of the major categories is as follows: Among account types, $750 billion — 51% — was in the form of defined contribution retirement assets such as 401(k)s.

T. Rowe Price Group, Inc.

	2020 (ended 12/31/20)	2019 (ended12/31/19)	% change	FY 2020 Q4	FY 2019 Q4	% change	FY 2021 year to date	FY 2020 year to date	% change
Net sales	$6.2 billion	$5.6 billion	10.5%	$1.7 billion	$1.5 billion	18.0%	—	—	—
Net income*	$2.3 billion	$2.1 billion	11.2%	$762.2 million	$530.7 million	43.6%	—	—	—
Diluted EPS*	$9.98	$8.70	14.7%	$3.33	$2.24	48.7%	—	—	—
Declared dividends	$3.60	$3.04	18.4%	$0.90	$0.76	18.4%	—	—	—

Stock exchange	Nasdaq	Value Line long-term earnings growth estimate	8.0%
Ticker symbol	TROW	Consensus long-term earnings growth estimate (14 analysts)	13.8%
Price at time of selection	$158.60	Consensus EPS growth rate for FY ended December 2021	25.1%
Past year's price range	$82.51 – $169.00	Consensus EPS growth rate for FY ended December 2022	4.8%
Recent market price	$160.54	Recent price-earnings ratio**	16.1x
Market capitalization	$36.4 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of $9.98 for the four quarters ended Dec. 31.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

By asset class, equities accounted for $895.8 billion — 60.9%. Among the offered investment vehicles, U.S. mutual funds represented $794.6 billion — 54%. Among the distribution channels, global financial intermediaries accounted for $765.4 billion — 52.1%.

Price reported deriving $5.7 billion — 91.7% of net revenues in 2020 — from its investment advisory unit. The segment provides management services to the Price fund family. Clients are periodically charged a percentage of their assets as management fees.

Administrative services accounted for $513.6 million — 8.3% of net revenues. The segment primarily provides back-office services to the Price fund family. Staff members handle inquiries from fund shareholders, for example.

Other roles include maintaining financial records, acting as a transfer agent, performing accounting functions, preparing financial reports and statements and valuing portfolio securities on a daily basis. The unit also contracts with sponsors of defined contribution retirement plans that offer employees Price mutual funds.

> **"One challenge facing managers is dealing with funds that become too popular."**

Thomas Rowe Price Jr. had a brief career as an industrial chemist before becoming a broker in the early 1920s.

Price developed a belief in long-term growth investing at odds with the market speculation that was prevalent within the industry at the time.

In 1925 he joined Baltimore's Mackubin, Goodrich & Co. In 1934 Price convinced senior managers to let him operate an investment management department employing his growth investing ideas.

The department wasn't particularly successful, however, and in 1937 was closed. Price and some colleagues left to launch their own partnership, Price Associates. The business was renamed T. Rowe Price & Associates a decade later.

The business introduced the Growth Stock Fund, its first mutual fund, in 1950.

The company launched its second major product, the New Horizons Fund, in 1960, followed by the New Era Fund in 1969. The success of the offerings led management to add investment products in the following decades, building out the company's mutual fund family.

The business went public in 1986. It reorganized as a holding company in 2000, adopting the current corporate name.

William J. Stromberg, 60, is chairman and CEO. He became chief executive in January 2016, and his immediately prior position was as head of equity, from 2008 to 2015. He became chairman in April 2019.

Stromberg joined the company in 1987. He previously worked as a systems engineer at a defense division of Westinghouse Electric before the industrial conglomerate's breakup.

Competitors include Affiliated Managers Group (AMG), BlackRock (BLK) and Invesco (IVZ), Morningstar reported.

Constraint Countermeasure

One challenge facing managers is dealing with funds that become too popular. Fresh inflows of client money into such funds have to be invested, and the sheer scale can make the fund large and therefore unwieldy. That's particularly a problem in categories such as small-capitalization stocks; the necessary, large-scale investment moves can result in reduced returns.

To overcome such capacity constraints, Price plans to move some of its mutual funds to a new platform. The new business — T. Rowe Price Investment Management — could allow clients access to funds that have long been closed to new investments because of capacity constraints. Management plans to launch the platform by mid-2022. The company will initially populate it with six products — one high-yield bond, one cross-asset, one mid-cap stock and three small-cap stock funds. The legacy business and the new division will have separate leadership, research and trading teams.

Final Notes

BetterInvesting featured T. Rowe Price as the Stock to Study for October 2000 and March 2013. The company ranked No. 104 in the Top 100 Survey of investor holdings for 2020 (*see page 38*). An estimated 79 clubs owned shares.

Shares underwent a 2-for-1 split in 2006 and four throughout the 1990s. The company doesn't provide a dividend reinvestment and direct-stock purchase plan.

In 2020 Price repurchased 10.9 million shares at a total cost of $1.2 billion. The share tally has declined each year since 2017. The annual share total had fluctuated throughout the century to that point. T. Rowe Price makes heavy use of stock options for compensation, the largest expense category. That can blunt the effect of stock buybacks.

More background on T. Rowe Price and its industry, including the Value Line analyst and Value Line industry reports, can be found in the Additional Resources menu in the magazine's section of the website. For more information, contact Investor Relations, T. Rowe Price Group, Inc., 100 E. Pratt St., Baltimore, MD 21202–1009.

Websites of Interest

T. Rowe Price Group, Inc.
www.troweprice.com

The author of this profile doesn't directly own any shares of T. Rowe Price.

— Reporting by contributing editor Kevin J. Lamiman

The Editorial Advisory and Securities Review Committee met on March 4. The Stock to Study and Undervalued Stock that its members selected were announced shortly afterward. Look for the Stocks to Study box on the right-hand side of the homepage. The link will take you to the announcement at the BetterInvesting Newsroom: www.betterinvesting.org/about-us/news-releases

SSG Study Notes

During your analysis of T. Rowe Price Group (TROW), you might consider the following comments, data points and questions for further study:
:

- **Capitalization section:** TROW's return on equity (net income divided by shareholder equity) averaged 27.8% for the past five years, compared with its peer group average of 23.4%. The return was well ahead of the 21.2% ROE for the entire financial services industry. The company has relatively little debt; thus its debt to equity ratio is a minuscule 0.8% for the past five years, compared with about 41% for its peer group.

- **Section 1 (Visual Analysis of Sales, Earnings and Price):** Since 2011, growth in sales has averaged 9.1% and has progressed evenly. Historical earnings per share likewise has moved upward smoothly at a 14% average during the period. Pretax profit grew at an average 10.1%. EPS for TROW's peer group rose at 6.9%. Compared to 2011, when TROW's low share price was $44.68 and its high was $71.29, the stock's low price so far in 2021 was $82.51 and its high $169.

- **Section 2 (Valuation and Return):** TROW's percentage payout — its dividends paid as a function of its earnings — averaged 38.6% for the five years through 2020. Its best yield for the period was 4.4% in 2020. Two of its peers paid out proportionately less than TROW while one, Blackstone, averaged 95.5% payout of its earnings over the past five years. One BetterInvesting reviewer notes that two independent researchers rate TROW as a BUY, another as a HOLD. Value Line rates it a "safe" stock with good dividend yield and appropriate for conservative investors.

- **Section 3 (Price-Earnings History):** For the past five years, TROW's high price-earnings ratio averaged 16.4%, below its peer group average of 19.7%. Its low P/E ratio averaged 10.8%, below its peer group's 12.6% average for the trailing five years.

Figure 1

Capitalization information. Besides background about the company, including the data source used for the study, this section provides information about the number of common and preferred shares and the percentages held by insiders and institutional investors. The company's total debt and the percentage of debt to total capital also are detailed.

Figure 2

Recent sales and earnings results. This section contains the company's most recent quarterly results along with a comparison of results from the same quarter a year ago.

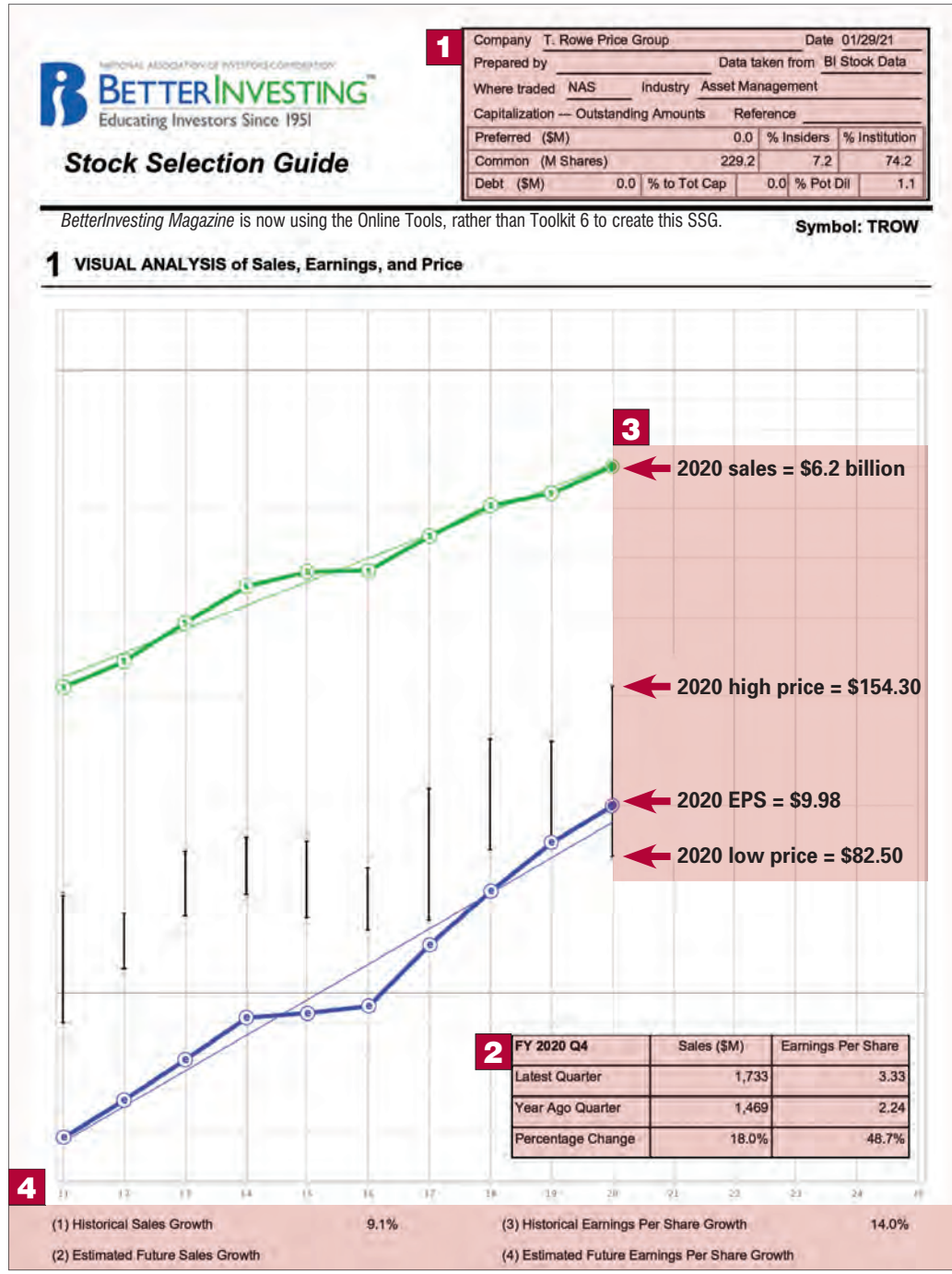
Figure 3

Visual analysis of sales, earnings and price. The graph provides a quick view of the company's financial results. A long-term history of consistent sales and earnings growth at relatively high rates indicates the company is well-managed and worth the time to study further.

The company's historical sales growth is plotted on the green line and historical earnings growth is represented by the blue line. The black bars provide information about the stock price. For each year, the top of the bar is the annual high price, while the bottom is the low price.

Figure 4

Forecasting future sales and earnings growth rates. This is the section in which you provide the first two primary judgments. The core of the BetterInvesting methodology is this: Sales growth drives earnings growth, and earnings growth drives stock price. Using the Stock Selection Guide, you'll forecast growth rates and determine the stock's potential high and low prices over the next five years.



The first step is to forecast sales growth. The company's historical performance is useful information, but you'll need to research the company and decide whether its revenue growth will continue at the historical level, slow down or possibly speed up.

After estimating sales growth, the next step is to forecast growth in earnings per share. In many cases you can estimate EPS growth that's similar to the rate you used for sales. EPS growth can differ from sales because of rising or falling expenses, an increasing or decreasing number of outstanding common shares and changing tax rates.

Remember, however, that even though a company can grow earnings faster than sales by cutting costs or buying back shares, this can't last forever. EPS growth eventually will drop to the same rate as sales.

You'll use the estimated growth rate for earnings to forecast the earnings per share five years from now. On the second page of the SSG, you'll use the future EPS to determine the stock's potential high price.

A key question to ask yourself is whether the company is growing at a sufficient rate relative to its size. Look for higher growth rates for small companies compared with medium-size and large companies.

Editor's note: The Value Line and Morningstar company and industry reports are available in the Analyst Reports and Other Resources section of the BetterInvesting website for your use in conducting stock studies. You'll need Adobe Acrobat software to read the Portable Document Format files.

2 EVALUATING MANAGEMENT

Company T. Rowe Price Group (TROW)

		2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	LAST 5 YEAR AVG.	TREND UP	TREND DOWN
A	% Pre-tax Profit on Sales (Net Before Taxes ÷ Sales)	45.5	47.5	48.8	50.3	47.7	46.4	52.3	44.4	52.1	52.2			
B	% Earned on Equity (E/S ÷ Book Value)	22.6	22.5	22.5	22.7	24.8	24.1	26.5	26.8	29.9	31.7			

5

3 PRICE-EARNINGS HISTORY as an indicator of the future

This shows how stock prices have fluctuated with earnings and dividends. It is a building block for translating earnings into future stock prices.

PRESENT PRICE _____ HIGH THIS YEAR _____ LOW THIS YEAR _____

	Year	A PRICE HIGH	B PRICE LOW	C Earnings Per Share	D Price Earnings Ratio HIGH A ÷ C	E Price Earnings Ratio LOW B ÷ C	F Dividend Per Share	G % Payout F ÷ C X 100	H % High Yield F ÷ B X 100
1	2016	79.0	63.0	4.75	16.6	13.3	2.16	45.5	3.4
2	2017	106.1	65.3	5.97	17.8	10.9	2.28	38.2	3.5
3	2018	127.4	84.6	7.27	17.5	11.6	2.80	38.5	3.3
4	2019	126.2	86.6	8.70	14.5	10.0	3.04	34.9	3.5
5	2020	154.3	82.5	9.98	15.5	8.3	3.60	36.1	4.4
6	TOTAL								
7	AVERAGE								

6

8 AVERAGE PRICE EARNINGS RATIO 9 CURRENT PRICE EARNINGS RATIO

4 EVALUATING RISK and REWARD over the next 5 years

Assuming one recession and one business boom every 5 years, calculations are made of how high and how low the stock might sell. The upside-downside ratio is the key to evaluating risk and reward.

A HIGH PRICE — NEXT 5 YEARS

Avg. High P/E _____ (3D7 as adj.) X Estimate High Earnings/Share _____ = Forecast High Price $ _____ (4A1)

7

B LOW PRICE — NEXT 5 YEARS

(a) Avg. Low P/E _____ (3E7 as adj.) X Estimated Low Earnings/Share _____ = $ _____

(b) Avg. Low Price of Last 5 Years = _____ (3B7)

(c) Recent Severe Market Low Price = _____

(d) Price Dividend Will Support Present Divd. / High Yield (H) = _____ = _____

Selected Estimate Low Price _____ = $ _____ (4B1)

8

C ZONING

_____ (4A1) High Forecast Price Minus _____ (4B1) Low Forecast Price Equals _____ (C) Range. 1/3 of Range = _____ (4CD)

(4C2) Lower 25% = (4B1) _____ to _____ (Buy)

(4C3) Middle 50% = _____ to _____ (Maybe)

(4C4) Upper 25% = _____ to _____ (4A1) (Sell)

9

Present Market Price of _____ is in the _____ (4C5) Range

D UP-SIDE DOWN-SIDE RATIO (Potential Gain vs. Risk of Loss)

High Price (4A1) _____ Minus Present Price _____

Present Price _____ Minus Low Price (4B1) _____ = _____ = _____ (4D) To 1

10

E PRICE TARGET (Note: This shows the potential market price appreciation over the next five years in simple interest terms.)

High Price (4A1) _____ = (_____) X 100 = (_____) - 100 = _____ (4E) % Appreciation

Present Market Price _____

5 5-YEAR POTENTIAL

This combines price appreciation with dividend yield to get an estimate of total return. It provides a standard for comparing income and growth stocks.

Note: Results are expressed as a simple rate; use the table below to convert to a compound rate.

A Present Full Year's Dividend $ _____

Present Price of Stock $ _____ = _____ X 100 = _____ (5A) Present Yield or % Returned on Purchase Price

B AVERAGE YIELD OVER NEXT 5 YEARS

Avg. Earnings Per Share Next 5 Years _____ X Avg. % Payout (3G7) _____ = _____ = _____ (5B) %

Present Price $ _____

C ESTIMATED AVERAGE ANNUAL RETURN OVER NEXT FIVE YEARS

5 Year Appreciation Potential (4E) _____ / 5 _____ %

Average Yield (5B) _____ _____ %

Average Total Annual Return Over the Next 5 Years (5C) _____ %

11

Figure 5

Evaluating management. The key to successful investing is finding well-managed companies whose stocks are reasonably priced. The company's historical growth rates provide evidence of good management, as do the numbers in this section.

Pre-tax profit margins represent how much of each sales dollar a company keeps before taxes. We look at pre-tax margins because companies have limited control over their tax rates. Look for stable or growing margins.

Return on equity indicates how well the company manages the money share-holders have invested in the company. Again, look for stable or growing returns.

Figure 6

Price-earnings ratio history. Section 3 includes information you'll use in Sections 4 and 5. Columns D and E detail the high and low P/Es for each of the past five years. You can also see the average P/E for the last five years as well as the current P/E. Information about the dividend yield also is offered.

Figures 7 & 8

Forecasting the high and low prices. The stock's P/E history will inform your judgments about the potential high and low prices. Multiply your predicted high P/E by the high EPS you calculated on the first page to determine the potential high price. Multiplying the expected low P/E by the low EPS (for a growth company, this often is the most recent year's earnings) is one way to predict the future low price.

Figures 9 & 10

Buy-Hold-Sell zones and upside-downside ratio. After calculating the potential high and low prices, you can use the SSG to determine whether the stock is reasonably priced. The upside-downside ratio compares the potential price increase to the potential price drop. Look for stocks that are both in the Buy zone and have an upside-downside ratio of at least 3 to 1; beware of abnormally large or small ratios.

Figure 11

Estimated average annual return over the next five years. In this final section, you'll learn about the stock's potential return over the next five years. This figure includes both the expected return from increases in the stock's price and predicted dividends.

Editor's note: Those who want to learn more about estimating future growth rates, predicting a stock's potential return and other issues regarding the SSG are urged to contact their local chapter for a schedule of classes. See the Regional Notices section in this issue for a list of chapters and contact information. A number of resources also are available at the BetterInvesting website. Among them is the Introduction to the SSG Series, a webinar series available free to members. The sessions explain how to select the best companies, determine a fair price, estimate future growth and project future P/Es. Go to the Video Learning Library in the Learning Center on the website to access these classes.

Foreign Sales Remain a Growth Driver for Internet's 'Cop'

Akamai Technologies, Inc.

For Akamai Technologies, Inc. (ticker: AKAM), internet security solutions may represent the future. Its cybersecurity products are delivering some of the fastest growth among the offerings of the internet technology provider.

At their Feb. 4 meeting, members of the Editorial Advisory and Securities Review Committee discussed the potential of such security products. They also reviewed the prospects for Akamai's legacy business — operating content delivery networks and cloud services — which recently has experienced a slowing growth rate.

Larger customers have increasingly set up their own CDNs. Akamai consequently has pivoted, marketing to smaller concerns that lack the technology resources to go independent.

A positive trend for the legacy business might be the ongoing shift to streaming media for television and video. Committee members cited reports that about half of all internet bandwidth is devoted to streaming, yet only a small proportion of media content is available in that form. Growth in streaming volume could drive demand for Akamai products.

Patrolling the Internet. Akamai provides clients with internet security and network solutions. This is a picture of Akamai's Network Operations Command Center (NOCC).

The coronavirus pandemic may be causing additional changes that could drive long-term growth in internet traffic — and the need for related technology services. Employees forced to work from home may continue doing so once the pandemic is brought under control. Gaming, ordering merchandise online and holding virtual meetings have also been on the rise.

Committee members said a promising trend for the cybersecurity unit is the increasing need of small businesses for digital security protections. Lacking the resources that large corporations can devote to security, small firms can turn to Akamai for relevant, cost-efficient solutions.

They noted that international growth is very strong, with revenue recently growing about 18% a year. Foreign customers generated $1.4 billion — 44.4% of the $3.2 billion in revenue for fiscal 2020 (ended Dec. 31, 2020).

Committee members acknowledged that Akamai's price–earnings ratio appears relatively high. As a leading company in a technology niche sporting high ratios, however, Akamai may demand that kind of valuation, they suggested.

The company's TTM P/E ratio was 33.3 (*see table*); the ratio for the S&P's 500 index was 39.4.

CSIMarket, a financial data service, set the TTM ratio average for the professional services industry at 49.0. The average was 33.2 for Akamai and one of the three publicly traded competitors named by Morningstar, based on figures Yahoo Finance reported. (Two other competitors were omitted from the calculation; one reported a loss, and the other reported a ratio that wasn't meaningful.)

At its $112.11 close on Feb. 4, the stock was 10.2% below the 52-week high of $124.91 reported on Jan. 27. By mid-February the share price had fallen just below $100 a share, however. The slide paralleled a decline seen in late October following release of lackluster results for the third quarter.

For P/E to projected growth, or PEG, Yahoo Finance reported a ratio of 1.7, based on an average five-year expected earnings growth rate. A range of 1.0 to 1.5 is generally considered desirable.

The goal for an Undervalued Company is a 20 percent increase in investment value (market price appreciation plus dividends) within 18 to 24 months. *BetterInvesting* is profiling Akamai for educational purposes only. No investment recommendation is intended.

Directing Traffic

Akamai provides web network and security services. It's among the leading technology providers that keep the internet running smoothly. The company operates a global network of servers and rents out capacity to customers wanting their websites to work faster by distributing content from locations near users. Akamai's server network reportedly is the world's largest and most widely used.

The Akamai Intelligent Edge Platform is a distributed cloud computing system operating worldwide through a network of more than 275,000 servers located in 136 countries. The servers are part of about 1,500 of the global networks gathering real-time data about web traffic, congestion and trouble spots. Each server runs on proprietary Akamai software that employs complex

Akamai Technologies, Inc.									
	2020 (ended 12/31/20)	2019 (ended 12/31/19)	% change	FY 2020 Q4	FY 2019 Q4	% change	FY 2021 year to date	FY 2020 year to date	% change
Net revenues	$3.2 billion	$2.9 billion	10.5%	$846.3 million	$772.1 million	9.6%	—	—	—
Net income*	$557.1 million	$477.3 million	16.7%	$113.4 million	$119.1 million	(4.8%)	—	—	—
Diluted EPS*	$3.37	$2.90	16.2%	$0.68	$0.73	(6.8%)	—	—	—
Dividends	—	—	—	—	—	—	—	—	—

Stock exchange	Nasdaq	Value Line long-term earnings growth estimate	15.0%
Ticker symbol	AKAM	Consensus long-term earnings growth estimate (17analysts)	9.7%
Price at time of selection	$111.60	FY ended December 2021 consensus EPS growth estimate	15.8%
Past year's price range	$75.18 – $124.91	FY ended December 2022 consensus EPS growth estimate	5.0%
Recent market price	$112.11	Recent price-earnings ratio**	33.3x
Market capitalization	$18.3 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of $3.37 for the four quarters ended Dec. 31.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

algorithms to process requests from nearby internet users.

In 2020 the web division produced revenue of $1.7 billion — 52.1% of the total. Of that, sales of Akamai's Cloud Security Solutions accounted for $1.1 billion — 63.7% of division revenue.

The media and carrier division generated $1.5 billion — 47.9%. The division markets the Intelligent Edge Platform, which generated $204 million — 13.3% of the unit's revenue.

Competitors include Citrix Systems (CTXS), Limelight Networks (LLNW) and ServiceNow (NOW), Morningstar reported.

Recent Developments

In February management announced Akamai would be reorganized into two internal groups: Security Technology and Edge Technology. The move will bring all of the company's security products together in one group.

Akamai also re-established the role of chief technology officer, appointing Executive Vice President Robert D. Blumofe to the post.

In January Akamai partnered with privately held Plume to create a new security solution targeting households and small businesses that employ internet of things technology. The cloud-based product is distributed through telecommunications firms that resell it to broadband customers.

The solution combined Akamai's mobile security suite and real-time threat intelligence with California-based Plume's consumer experience management platform for "smart homes." Plume reported that at year-end 2020 it was averaging about 1 million home activations each month, with the growth rate accelerating.

Since 2013 Akamai has completed at least 20 acquisitions and investments. The largest was its 2014 acquisition of Prolexic Technologies in a deal valued at about $400 million. The domestic business provided protections against distributed denial of service attacks. Such attacks are designed to disrupt websites and data centers.

The latest deal involves privately held Inverse. In February Akamai announced it had agreed to acquire the Montreal-based business in an all-cash deal. Terms of the transaction weren't disclosed.

Inverse will enhance Akamai's security capabilities, particularly regarding internet of things technology. Those capabilities will include providing deep understanding of the expected network behaviors of such devices.

Final Notes

BetterInvesting hasn't previously featured Akamai. The company didn't appear in the Top 100 List of investor holdings for 2020 (*see page 35*).

The share total has declined each year since 2013, except for a slight uptick in 2020, for a seven-year reduction of 10.4%, Value Line reported.

In 2020 Akamai repurchased 2 million common shares valued at $193.6 million.

Akamai hasn't undergone any stock splits to date. The company doesn't offer a direct stock-purchase plan.

More background on Akamai and its industry, including the Value Line analyst and Value Line industry reports can be accessed through the Additional Resources menu in the magazine's section of the website.

For more information, contact Investor Relations, Akamai Technologies, Inc., 145 Broadway, Cambridge, MA 02142–1058.

The author of this profile doesn't directly own any shares of Akamai Technologies.

— Reporting by contributing editor Kevin J. Lamiman

Don't Feel Guilty if You Decide to Sell a Bequest of Equities

The Pros and Cons of Inherited Stock

by Sam Levine, CFA, CMT, Contributing Editor

Heirs frequently inherit large positions in one stock and don't know what to do with it. This could be because the grantor worked at the company or it could be from one large purchase that was left alone to have automatic dividend reinvestment work its magic. But is it wise to have so much wealth concentrated in only one company? Modern portfolio theory says no, but your heart might not allow you to pull the trigger. What should you do? (*For how one family handled inherited stock, see Page 42.)*

Concentrated stock positions are risky. A significant chunk of your wealth is tied into one company's products, one management group's decisions and the whims of a fickle stock market. No company or stock is invincible (even Amazon). Competition will notice outsized profits and offer lower prices or innovation. And, as is happening right now, elected officials become distrustful or jealous of companies that become too powerful. Diversification is almost always the safer bet.

> **"That stock doesn't know you exist, let alone have any sort of attachment to it."**

Let's acknowledge, though, that deciding what to do with inherited stock can be affected by other factors. If a late parent's last instruction to you was to never, ever, sell the stock, then your primary concern might be your conscience, not what's right for your portfolio.

Even if you weren't left any explicit instructions, you still might be inclined to keep it. Perhaps if the stock worked out well before, it'll be more likely than most stocks to continue to do well in the future, too. You could also see it as a reminder of a departed loved one.

There's another perspective to consider: the "perspective" of the shares themselves. That stock — and any other stock, for that matter — doesn't know you exist, let alone have any sort of attachment to it. Even if it did, it will only follow Mr. Market's whims, not yours or the grantor's. There is little to be attached to. Stock rarely exists in physical form; it's just a few kilobytes in a global network.

In my experience advising individual investors, I usually found that what the grantor really wanted was to ensure the wealth they worked so hard to acquire will continue to provide security or income to future generations. Parents are frequently hesitant to encourage their heirs to sell because they are afraid the money would be reinvested unwisely.

Without insulting any grantor's abilities, I often found the stock didn't perform as well as the family thought. It was time in the market that brought about those returns, instead of any particular stock being better than others.

Even if it did outperform the market, it still might not be the right investment for you. Most of the inherited stocks I've seen are dividend payers. They typically have more predictable returns than growth stocks. Investors have an easier time holding those stocks for decades because there are fewer surprises. But if you're relatively young, you might be more concerned with accumulating wealth than receiving regular dividends.

Dividend reinvestment is great. But if the stocks were held outside a retirement account, they are taxable as ordinary income. Growth companies also save on taxes by reinvesting at least some of their profits before they get taxed, leaving more capital to grow and build wealth (hopefully) for their shareholders.

Once you've done your homework, you can make a more informed decision about whether to listen to your heart or your mind. It's quite possible you might be very comfortable with the prospects for your stock and you feel as if the risks are manageable. In that case, congratulations.

Should that not be the case, you might have an easier time moving money around than you think. Luckily, Uncle Sam understands heirs' financial needs often differ from the previous generation and gives heirs of appreciated stock a one-time break. The stock's cost basis, which is the accounting value used to calculate capital gains taxes can be "stepped up" to their value on the date of death, instead of the original purchase price. That allows heirs the ability to reallocate according to their needs instead of being intimidated by a huge tax penalty. Be sure to check with your tax adviser before doing so, though.

One last suggestion: If you find it difficult to sell the stock because of your attachment to those who left it to you, hold on to most of the position if you must. Wealth is meant to serve you and you aren't serving yourself well if you feel guilty taking any investment action. Instead, sell as much as you're comfortable with, invest in assets that move differently than the original stock, and turn off dividend reinvestment so you can continue to reduce risk.

China Has Decided All Kindergartners Will Start on the Keyboard

Smart Piano: Music Firm Has Huge Teaching Contract

by Nic Van Broekhoven

The monetization of audiovisual content has grown exponentially over the past decade with services such as Netflix, Disney+, Spotify and Apple Music taking an important part of the market. In the world of classical music the company with the largest and most diversified digital library is Naxos Music Group.

The company was founded by German national Klaus Heymann in 1987. Heymann is based in Hong Kong and over the decades increased his importance in the classical music scene, cementing strong ties with multiple Chinese families active in classical music. The strongest bond was developed with the family of businessman Yu He, who became his business partner in 2002 and jointly developed Naxos China.

Yu's company, Kuke Music Holding Limited, is based in Beijing. American depositary receipts representing Kuke Music began trading on Nasdaq under the ticker KUKE this year.

Kuke was brought to U.S. investors in January when it raised $50 million via the sale of $5 million ADR at $10. The stock spiked to $15.30 per share shortly after the initial public offering but has recently traded down to below $10.

Kuke is an interesting play on the development of classical music and the Chinese government's decision in October 2020 to make musical education a required subject in overall Chinese education from kindergarten to high school.

Kuke is keying into this trend by supplying schools with its proprietary Smart Piano system. The system is currently rolled out to 1,600 kindergartens in China and expected to grow to 10,000 kindergartens by the end of 2021. China has an estimated 300,000 kindergartens throughout the country.

The Smart Piano system allows students to be monitored in their performance via digital piano technology, which helps them improve their technique and skill. It also optimizes the teacher/student relationship. Kuke provides schools with physical pianos free of charge but makes money on a per usage basis.

As the adoption increases its financial returns should improve significantly in the coming years. The policy announcement regarding mandatory music lessons in the Chinese educational system is a structural driver. The other revenue segments of the company are the licensing fees for the use of its music library content and its role in organizing classical music festivals.

In 2019 the company generated $31 million in revenues and this is expected to grow rapidly in the years ahead. The company has been consistently profitable over the past three years. Analyst consensus has revenues reaching over $120 million by 2023 as more schools sign up for the Smart Piano system. A post-coronavirus revival in music festivals and a recessionary proof licensing business should churn out significant cash flows as well. With a market cap of just over $270 million, the story is well-hidden from investors.

Investor worries about Kuke have centered on its potential to ramp up its Smart Piano system, which is estimated to be 80% of its total revenues, in just two years' time. Failure to deliver enough pianos to schools could derail its aggressive growth plan. A falling out between Naxos and Kuke with regards to its China licensing agreement could also pose downside risk.

Companies mentioned in this article are for educational purposes only; no investment recommendation is intended. Readers are urged to conduct their own studies of any stocks of interest.

Nic Van Broekhoven holds no position in Kuke Music Holding Limited.

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You Don't Need to Take Out Cash, You Can Transfer Shares In-Kind

How to Manage Required Minimum Distributions

by Danielle Schultz, CFP, CDFA, Contributing Editor

For those of us who are dedicated savers, being forced to withdraw money from our investments can be as unappealing as a root canal. But if we're prepared for the procedure, we can accomplish it as painlessly as possible. Let's drill into the options.

Required minimum distributions (RMDs) are the way the Internal Revenue Service finally collects their money. You delayed the appointment for all your working years, reducing your taxable income by the amount of contributions to your 401(k), 403(b) or traditional individual retirement account. The IRS put off revenue collection because — guess what? — the contributions grow and a far larger amount can be taxed upon withdrawal.

Of course, if you were smart enough to choose the Roth version (Roth 401(k), individual Roth or both), you paid the tax before you made the contributions, so no tax will be due at withdrawal in retirement. In fact, except for inherited Roths, you won't be required to take an RMD at all. You can withdraw from a Roth as needed or leave it untouched to grow tax-free.

Timing Withdrawals

You can begin withdrawals once you reach age 59½, but you're not compelled to do so. Do it before 59½ and you not only pay regular income taxes, but also a 10% penalty on the whole withdrawal for an IRA, only on the earnings for a Roth.

There are certain exceptions: medical hardship, purchase of a first home, college (for a Roth). With a Roth, you can always withdraw the amount of your contributions; earnings will be taxed and penalized if before 59½. The basic advice is, don't; if you do, be sure it's absolutely necessary and you're thoroughly versed in exceptions and penalties for your individual situation.

RMDs or withdrawals from traditional retirement accounts can also increase your Medicare premiums by increasing your taxable income, so be sure to factor this into any withdrawal decisions between 65 and 72.

The mandatory age to begin withdrawals was 70½ until the SECURE Act increased that to 72 (70½ if you were 70½ before Jan.1, 2020).

The amount you must withdraw is based on your age and the account value on the last day of the previous year (so, Dec. 31, 2020, for withdrawals in 2021).

Usually, your investment house will calculate the amount for you or there are numerous calculators on the web.

Calculating and Making RMDs

If you have multiple retirement accounts, each RMD will be calculated based on the value of that account. But you do not need to make RMDs from each account, although you'll probably get some nagging notices from each one. You can aggregate the amount and withdraw from one account only. This may be convenient if you intend to withdraw the RMD as shares rather than in cash.

You do not need to take RMDs in cash. If you like the investment and believe it has upside potential, or just don't need the cash, you can transfer shares in-kind. This requires a bit of notice to your custodian or investment house, and it's not possible to know exactly the value of the stock on the day of transfer, so don't wait until late December to start the process! You'll need to get as close as possible, or make up the difference in cash, or take a slightly larger than necessary distribution. You can choose to distribute shares from one account (or more) and make up the difference in the required amount from another account.

If you transfer shares, you'll still owe taxes on the amount. It also resets the cost basis to the value at transfer, and the short term/long term gain determination begins with date of transfer. For traditional IRAs, it doesn't really matter if you have a loss or gain in the shares before transfer — you still have to meet the RMD distribution. But for distributions from Roths, which are not required, you might want to pick appreciated shares since you'll restart with a higher cost basis and the chance for lower capital gains when you sell.

If you do have multiple retirement accounts, you'll make life much easier if you consolidate them, insofar as legally possible, into one or few accounts. You should choose what to sell or transfer based upon how the amount will affect your portfolio balance. You should consider your RMD when you rebalance your accounts, earmarking enough to distribute but still maintain your asset balance and provide cash spending needs. You can choose assets that are up, assets (especially individual stocks) that you've lost faith in and want to divest, or, perhaps easiest of all, shares in a balanced or target retirement fund.

Remember, there's no obligation actually to spend the RMD: You just lose your tax-sheltered status for that amount. It's not unusual for retirees to find that their RMDs exceed their need for spending funds. In that case, the RMD can go directly into your taxable brokerage account.

RMDs were not required of anyone for 2020. The stated rationale was that the market was quite high in December 2019, followed by a severe drop in the early part of the year. Therefore, RMDs would have been calculated on a higher value than portfolios were worth for part of the subsequent year. As of this writing, that pause has not been extended for 2021. If you think it might and you're able to wait, you might want to wait until mid-2021 before taking the distribution. My crystal ball says this would primarily benefit people wealthy enough to have significant retirement accounts, so perhaps not the direction the Biden administration will take. If you don't need funds immediately, wait and see.

"If you have multiple retirement accounts, you'll make life easier if you consolidate them, insofar as legally possible, into one or a few accounts."

Inherited IRAs

Inherited IRAs, whether Roth or traditional, must be kept in a separate beneficiary account. They cannot be combined with your own retirement accounts. The calculated RMD is separate and in addition to any RMDs from your own retirement accounts. Contrary to the rules that apply to Roth IRAs you've established for yourself, inherited Roth IRAs do have minimum distribution requirements. But what those requirements are depend on when you inherited the account.

Inherited Before 2020

You were required to begin withdrawals no later than the year following the owner's death. You can take distributions over your lifetime. If you are much younger than the original owner, this can be a very long time indeed, and the required RMD may be quite small each year. In addition, stretching withdrawals over a (second) lifetime gives you a very long time to let the account continue to grow. Well invested, it's not unusual to take RMDs for many years yet still have close to the original value in the account.

While you must take withdrawals from both traditional and Roth inherited IRAs, the withdrawals from the Roth are not taxable. RMDs from a traditional inherited IRA are taxable as ordinary income.

Inherited in 2020 or Thereafter

Very large IRAs represented a huge delay on the government ever getting its money. As of Jan. 1, 2020, the SECURE Act sped up that process. If you inherited either a traditional IRA or a Roth, you now must clean out the account within 10 years. There are no specific required minimum distributions for any of those years: you can withdraw it all in the first year, the 10th year or different (or same) amounts every year. But withdrawals from traditional IRAs are fully taxable as income, so it's worth considering the withdrawal and how it will affect your tax bracket.

Let's say you inherit a $1 million traditional IRA. Withdrawing over 10 years might mean you'll be kicked into a higher tax bracket, which will affect the marginal tax rate on your earnings, as well. The sudden rise in income can also affect family eligibility for college financial aid.

On the other hand, if you leave the $1 million to accumulate for 10 years, it can possibly have doubled. That means in year 10 you'll be paying 37% income tax on twice as much — let's say $740,000 on $2 million. On the other hand, if you'd withdrawn the entire amount in year 1, you'd have paid $370,000. Invested, capital gains would have been 15% or 20%, only when realized. If you are close to retirement yourself, or expect a significant drop in income sometime in the next 10 years, you may want to use lower income years to make withdrawals, to avoid increasing your tax bracket on your earned income.

If you inherited a Roth IRA, you might be tempted to cash it all in immediately upon receipt, since there's no tax. If you do that, however, you've just given up potentially 10 years of tax-free growth. The larger the balance, the more that matters.

Of course, there are always exceptions. According to Marketwatch:

> *"The rule does not apply to spousal beneficiaries, as well as disabled beneficiaries and those who are not more than 10 years younger than the account holder (such as a slightly younger sibling, for example). Minor children are also exempt, but only until they reach majority age. After that, they will have 10 years to withdraw the assets in an inherited account. Spouses, disabled beneficiaries and others under the exception will still be allowed to take distributions over their life expectancies."*

Final Comments

After a lifetime habit of saving and conserving our investments, it can be really hard to begin the withdrawal process. But this is what you've been trying to achieve: a funded retirement. You were wise enough to make tax-savvy investments. Now it's time to reap the benefits, rendering to Caesar what Caesar has patiently been awaiting.

Danielle L. Schultz, CFP, CDFA, is a fee-only financial adviser with Haven Financial Solutions, Inc., based in Evanston, Illinois.

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Several Methods Will Help You Determine if Stock Market Is Overvalued

Avoiding Crashes

by Sam Levine, CFA, CMT, Contributing Editor

Fulfilling a teenage dream, I finally went through a motorcycle training course and bought a bike. If there's one thing regular *BetterInvesting* readers should know about me by now after seven years, is that I always balance potential reward with risk, and I try to do the same with my riding.

The dawn of cellphone cameras and GoPros make it easy for motorcyclists to record rides for posterity. They might do it to show off how fast they can go, some trick move they're proud of or simply to defend themselves from liability. Thanks to the sheer number of cameras on bikes, some cameras catch real-time accidents. Some generous and humble riders share their nonfatal accidents to be analyzed on YouTube so others can learn from the incident. These analyses, scary as they may be, are invaluable lessons on what to watch out for on the road, what to do in case of an emergency and what not to do if you want to avoid an accident.

I haven't been in a motorcycle crash (knock on wood), but I have lived through several market crashes. There was the Dotcom crash, the Russian default crisis and the Flash Crash. Then there was the Great Recession and the Pandemic Panic. They aren't fun but, as you can tell from today's much higher market levels, if you didn't hang too much of your tail in the wind, it was more profitable to wait them out than to avoid the market entirely. But we can look for common themes that might help us.

There are several popular methods to determine whether a market is overvalued or undervalued. We can compare one market against another to estimate relative value. Just as we do for the Stock Selection Guide, we can look back at the stock market's current level and earnings history and apply best- and worst-case multiples and earnings to generate a range of potential outcomes.

There is single- and multi-factor investing. Artificial intelligence and advanced algorithmic trading can scan through thousands of indicators and instantly act on the most arcane correlations. There's technical analysis, which has evolved towards being a hybrid of behavioral investing and pattern detection. And lastly, there's seat of the pants speculation.

If you apply all those perspectives at once, chances are they'll fall over themselves contradicting each other. The U.S. market might be cheap compared to other countries but still be rich compared to its historical multiples.

One formulation of stock market value could be: **[the market's true value] + [investor error]**. That might appear axiomatic at first. There's always a true intrinsic value, even if it's unknowable at the moment. And, as long as there's at least one clown in the market buying and selling stock at the wrong times, there's always a source of error. Not all of us are clowns, but as long as we make imperfect estimates, we're all sources of error.

The expectation is that we're all rational investors trying to maximize wealth within our own individual tolerances for risk. If that were true, our individual errors would be random and cancel each other out. Some investors will overestimate stocks' values, others will err on the other side. If half of the error is too high and the other half too low, a stock's current stock price will equal value.

Individual investors don't need to be right for the market to price stock properly as long as we're randomly wrong and we're all rational, at least when it comes to pursuing the best returns for our preferred levels of risk. We all like to believe we're rational. But what if we aren't? What if a majority of us are making the same mistakes?

Free, competitive markets are the best way to determine true value. But they are still imperfect, because we're imperfect. We get too attached to our assumptions and other people's opinions. We trust experts too much and we hate missing out. Those tendencies can lead many of us to make the same mistakes. When many investors are making the same error in valuation, then market bubbles and crashes follow.

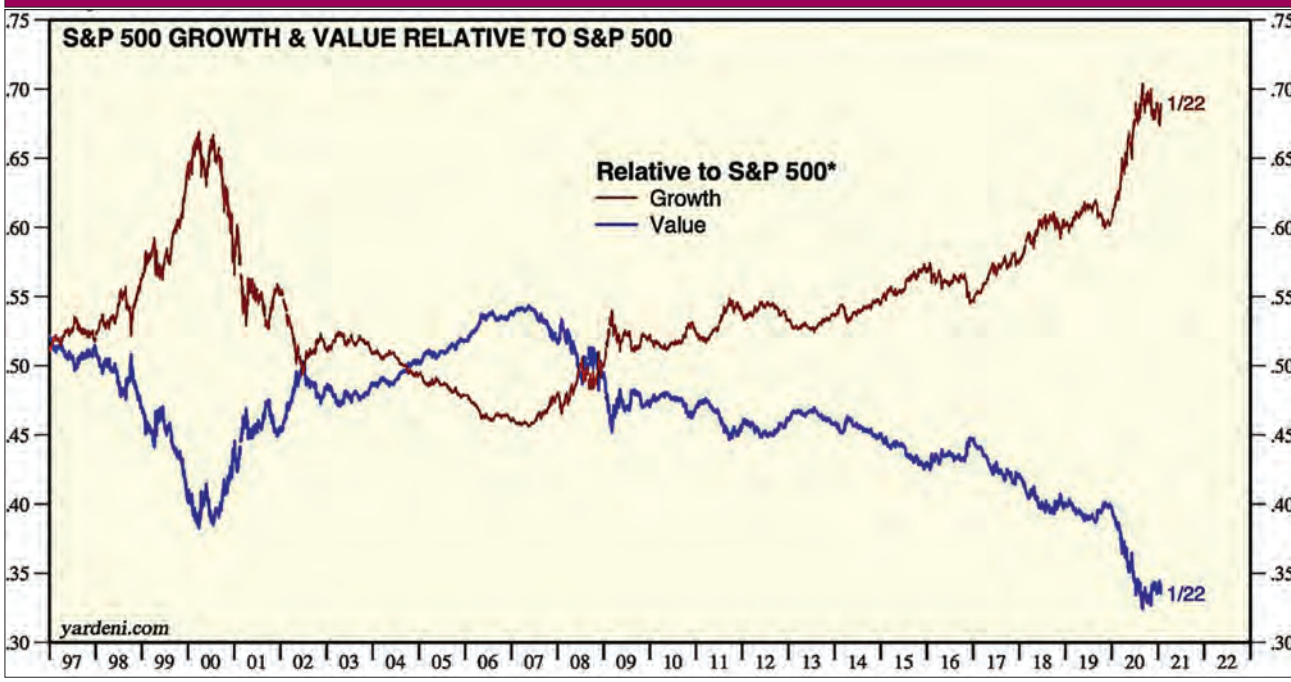
Causes of Crashes

Motorcycle (or any vehicle) crashes are more likely when the roads are wet, sandy or icy. Cars can pull out of side roads without warning. Drivers could be texting instead of paying attention to the road. Roads can be poorly maintained, curve suddenly or have limited visibility. And Heaven help anyone who gets on a bike drunk or distracted.

There's only one cause of a stock market crash: The demand for stock suddenly falls more than the supply. That said, like motorcycle crashes, there's a breadth of potential "causes" for market crashes. They aren't really causes, they are stimuli for investors to reexamine valuations.

A crash might be caused by misguided monetary policy, poor market regulation, a war or a pandemic. That doesn't help investors after the fact, though. Most events, along with the market's reaction to them, are one-

Growth Versus Value: A Look at How Stocks Listed on the S&P 500 Have Diverged



Source: Yardeni Research

offs. They won't precisely repeat. Even within the past few years, sometimes the market rose when the Federal Reserve Board reduced interest rates and then there were other times when the market interpreted that as a sign of a looming recession and sold off.

What Are the Common Threads?

Many motorcycle riders think crashes are mostly out of their control, so there's little point in taking safety measures. Likewise, some investors believe in the possibility of butterfly effect where the slightest cause can lead to a chain reaction culminating in a global selloff. That might be true, but it implies market movement is random and there's no hope to outperform the market.

Crash Avoidance

I can choose not to ride and we can choose not to invest in the market. That would avoid any risk. But I enjoy both riding and investing, so I'm going to propose an alternative: for both activities, we tailor our speed to match the environment. When there's danger, slow down.

Excessively high market multiples may persist for a long time, but they eventually reverse. At the start of 2021, the S&P 500 was at gasp worthy high multiples of 39 times 12-month trailing earnings.

The S&P 500 Growth Index has been dominating its value counterpart since the Great Recession. Timing the market is an exercise in frustration, but that doesn't mean we need to follow its every whim.

I'm going to stick my neck out: When stocks are trading at close to 40 times trailing earnings and the economy isn't at the trough of a recession, there's some crazy optimism floating around the market. That may continue for some time, but I fully expect there will be better buying opportunities.

So, what to do?

First, if you're on margin, get off it. Low margin rates have encouraged investors to borrow to finance their stock holdings, only to suffer terribly when the market falls. As low as rates might be at the moment, you can reduce portfolio risk tremendously by getting off margin.

The above graph from Yardeni Research is suggesting that there's likely more value to be found in value stocks than in growth stocks. Those poor, neglected value stocks are more likely to be underpriced than their growthier peers and many are less volatile than the overall market. I don't like to ride in traffic jams. Investors shouldn't feel comfortable in overbought stocks.

Riding a motorcycle and investing are two entirely different activities. I could have just as easily used walking in the rain as an analogy for investing. But regardless of what we do, and even if we do nothing, there will always be opportunity and there will always be risks.

Only a Wile E. Coyote accelerates at the start of a sharp turn. The rest of us see it and slow down.

No. 5 From 'The Six Commandments of Value Investing'

Risk Is a Permanent Loss of Capital (Not Volatility)

by Vitaliy N. Katsenelson, CFA, CIO of Investment Management Associates

This article from Vitaliy Katsenelson includes discussion of stocks and assets mentioned only for educational purposes; no investment recommendations are intended. Go to Vitaliy's Contrarian Edge website (www.contrarianedge.com) for more articles. You can sign up at the site to receive articles by email. Below is excerpted from "The 6 Commandments of Value Investing."

Conventional wisdom views volatility as risk. Not value investors. We befriend volatility, embrace it, and try to take advantage of it. For someone who has not researched a company, it is not readily apparent whether a decline in shares is temporary or permanent. After all, if you don't know what the company is worth, the quoted price becomes the quotient of intrinsic value.

If you do know what the company is worth, then the change in intrinsic value is all that is going to matter. The price quoted on the exchange will be your friend, allowing you to take advantage of the difference between intrinsic value and quoted stock price. If the quoted stock price is significantly cheaper than your estimated intrinsic value, you buy it (or buy more of it if you already own it).

> **"Volatility becomes your friend because you rationally take advantage of it."**

If the opposite is true, you sell it. What is a company worth? Determining the intrinsic value requires a combination of art and science, in that order — it is not quoted on the exchanges. We go about this the same way a businessman would figure how much he'd want to pay for a gas station or a McDonald's franchise.

Analysis of each company will be different, but at the core we estimate the cash flows the business will produce for shareholders in the long run (at least 10 years) and what the business will be worth then (based on our estimate of its earnings power at the time). The combination of the two provides us an approximation of what the business is worth now.

To further embed "the right" type of risk analysis into our investment operating system, we build financial models. Models help us to understand businesses better and provide insights as to which metrics matter and which don't. They allow us to stress test the business: We don't just look at the upside but spend a lot of times looking at the downside — we try to "kill" the business. We look at known risks and try to imagine unknown ones; we try to quantify their impact on cash flows.

This "killing" helps to us understand how much of a discount (margin of safety) we should demand to what the business is worth. By applying this discount to fair value, we arrive at a buy price. For every stock we buy we probably look at a few dozen (at least).

For instance, if we are looking at a company that is selling products or services to consumers, we'll be focusing on customer-acquisition costs. We try to drill down to the essential operating metrics of each company.

If it's a convenience store retailer, we'll look into gallons of gas sold and profit per gallon. If it's an oil driller, we'll look at utilization rates, rigs in service, average revenue per rig per day. If it's a pharmaceuticals company, we'll have revenue lines for each major drug it sells and model the company for the eventuality that patents will run out. (Revenues usually decline 80%-90% when a patent expires.)

These models help us to understand the economics of the business. We usually build two type of models. We start with what we call the "tablecloth" model. This is a very detailed, in-depth model that zeros in on different aspects of the business. But the risk we run with a tablecloth model is that we get lost in the trees and forget about the forest.

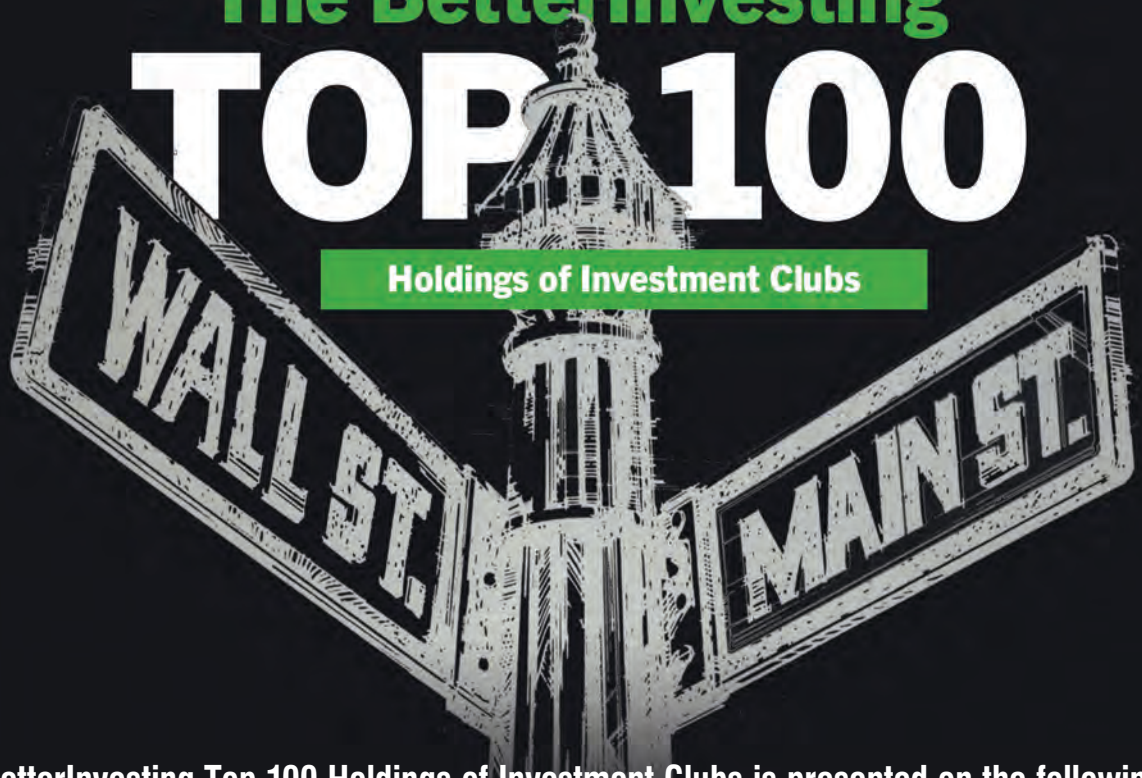
This brings us to our "napkin" model. It's a much simpler and smaller model that focuses only on the essentials of the business. It is easier to build the tablecloth model than the "napkin." If we can build a napkin model, that means we understand the drivers of the business — we understand what matters.

Models are important because they help us remain rational. It is only the matter of time before a stock we own will "blow up" (or, in layman's terms, decline). In this type of analysis, what happens this month, this quarter, or even this year is only important in the context of the long run — unless the company's good or bad earnings report in any quarter changes our assumptions on the company's long-term cash flows.

If you methodically focus on what the company is worth and if your Total IQ is maximized, then price fluctuations are just noise. Volatility becomes your friend because you can rationally take advantage of it. It's an underappreciated gift from Mr. Market.

The BetterInvesting TOP 100

Holdings of Investment Clubs



The BetterInvesting Top 100 Holdings of Investment Clubs is presented on the following pages. The Top 100 Companies are listed on pages 36 and 37, while the Second 100 listing is on page 38. An alphabetical index of the Top 200 Companies is on page 39.

This year's holdings of investment clubs subscribing to **myCLUB.com** reflect 2020's uniqueness, a year shaped by the pandemic, the ensuing lockdowns and a booming stock market riding fast on the heels of a hard crash. With remote communications a lifestyle, Teladoc Health galloped up the Top 100 list while Pfizer, a producer of the COVID-19 vaccine, won greater prominence. Two stocks not on last year's list are another vaccine maker, Moderna, now No. 68, and our new best friend, Zoom Video Communications, No. 56. Airline stocks were down as travel hit the skids; bargain-hunting clubs likely hoped a vaccinated public will soon love the way Delta Air Lines flies and lifted it to No. 75.

Big Movers on the Top 200 List

Places Moved	Company	Movement From 2019 to 2020
UP 138	Teladoc Health Inc.	219 to 81
65	Advanced Micro Devices Inc.	144 to 79
52	Delta Air Lines Inc.	127 to 75
40	Tesla Inc.	61 to 21
32	Activision Blizzard Inc.	129 to 97
23	Shopify Inc.	112 to 89
22	Zoetis Inc.	114 to 92
21	QUALCOMM Inc.	91 to 70
17	Pfizer Inc.	29 to 12
17	Merck & Co. Inc.	62 to 45

Some of the companies making the most significant upward movements in the *BetterInvesting* Top 200 from 2019 to 2020. Club holding information is from myICLUB.com.

TOP 100 COMPANIES

Companies	Ticker	Rank by # of Clubs Holding	Number of Clubs Holding Stock	Rank by Total Shares Held by BI Community	Number of Shares Held by BI Community	Rank by Total Value of Shares Held by BI Community	Total Value of Shares Held by BI Community on 12-31-20
Apple Inc.	AAPL	1	1,704	1	2,346,729	1	$311,387,434
Amazon.com Inc.	AMZN	2	956	83	43,963	2	143,183,335
Microsoft Corp.	MSFT	3	899	4	364,166	3	80,997,703
Alphabet Inc. Cl A	GOOGL	4	829	84	43,651	4	76,491,270
Disney (Walt) Co.	DIS	5	783	15	214,886	8	38,933,051
Visa Inc.	V	6	700	7	276,531	5	60,485,640
Johnson & Johnson	JNJ	7	523	16	211,360	12	33,263,886
Costco Wholesale Corp.	COST	8	521	32	100,899	9	38,016,577
Home Depot Inc.	HD	9	515	22	147,875	7	39,278,466
Facebook, Inc.	FB	10	491	25	126,655	10	34,597,167
Starbucks Corp.	SBUX	11	464	13	222,210	15	23,772,012
❑* Pfizer Inc.	PFE	12	430	2	499,722	21	18,394,763
Berkshire Hathaway Inc. Cl B	BRK.B	13	422	19	194,722	6	45,150,115
CVS Health Corporation	CVS	14	396	20	176,808	33	12,075,998
PayPal Holdings Inc.	PYPL	15	386	30	104,464	14	24,465,569
* Walmart Inc.	WMT	16	383	28	116,466	25	16,788,521
*✓ AbbVie Inc.	ABBV	17	372	17	203,561	17	21,811,552
PepsiCo Inc.	PEP	18	364	23	140,833	19	20,885,586
Intel Corp.	INTC	19	337	5	345,284	24	17,202,069
Procter & Gamble Company, The	PG	20	337	27	125,596	23	17,475,368
* Tesla Inc.	TSLA	21	332	76	47,218	11	33,320,641
Verizon Communications Inc.	VZ	22	330	9	254,430	28	14,947,736
AT&T Inc.	T	23	322	6	294,579	48	8,472,080
NVIDIA Corp.	NVDA	24	305	69	54,195	13	28,300,515
Netflix Inc.	NFLX	25	295	91	40,844	16	22,085,466
Cisco Systems Inc.	CSCO	26	280	14	219,732	41	9,833,021
❑ Viatris Inc.	VTRS	27	260	59	65,449	210	1,226,514
McDonald's Corp.	MCD	28	258	36	97,901	18	21,007,564
Stryker Corp.	SYK	29	256	46	84,323	20	20,662,591
Boeing Co.	BA	30	256	53	73,425	27	15,717,287
Alibaba Group Holding Ltd.	BABA	31	246	81	45,298	37	10,542,146
Southwest Airlines Co.	LUV	32	226	43	85,974	98	4,007,236
* Lowe's Cos. Inc.	LOW	33	223	40	89,269	29	14,328,571
* Abbott Laboratories	ABT	34	221	37	93,277	39	10,212,947
Aflac Inc.	AFL	35	214	3	396,187	22	17,618,418
Exxon Mobil Corporation	XOM	36	204	18	201,759	51	8,316,485
Skyworks Solution Inc.	SWKS	37	199	45	84,936	30	12,985,050
UnitedHealth Group Incorporated	UNH	38	197	80	45,907	26	16,098,780
* salesforce.com, inc.	CRM	39	196	94	39,578	46	8,807,250
* Dollar General Corp.	DG	40	196	86	43,236	45	9,092,623
Fastenal Co.	FAST	41	189	12	230,524	34	11,256,467
• Raytheon Technologies Corp.	RTX	42	182	52	74,532	78	5,329,807
General Electric Co.	GE	43	176	24	138,134	182	1,491,842
Caterpillar Inc.	CAT	44	174	56	71,263	31	12,971,347
* Merck & Co. Inc.	MRK	45	172	39	89,997	61	7,361,765
* Bristol Myers Squibb Co.	BMY	46	172	33	100,081	71	6,208,014
* Coca-Cola Co. (The)	KO	47	170	26	126,552	64	6,940,127
Medtronic plc	MDT	48	170	66	55,906	68	6,548,850
Ulta Beauty, Inc.	ULTA	49	169	139	22,737	69	6,529,024
JP Morgan Chase & Co.	JPM	50	168	49	78,382	40	9,960,055

Michael Calbert, a member of the NAIC/BetterInvesting Board of Directors, is also on the Dollar General Board of Directors.

 * Advanced five positions or more in rank since last year ** New to the Top 100 ✓ Abbvie acquired Allergan

Shown on these two pages are the most popular and widely held stocks among investment clubs and their members nationwide as of late 2020.

Companies	Ticker	Rank by # of Clubs Holding	Number of Clubs Holding Stock	Rank by Total Shares Held by BI Community	Number of Shares Held by BI Community	Rank by Total Value of Shares Held by BI Community	Total Value of Shares Held by BI Community on 12-31-20
* Target Corp.	TGT	51	166	101	37,595	66	6,636,582
* 3M Company	MMM	52	163	61	59,718	38	10,438,049
* United Parcel Service, Inc. Cl B	UPS	53	162	107	35,650	74	6,003,471
Amgen Inc.	AMGN	54	160	114	32,674	59	7,512,397
Ford Motor Co.	F	55	159	11	233,289	154	2,050,609
** Zoom Video Communications, Inc.	ZM	56	159	228	9,211	119	3,106,960
Air Lease Corp.	AL	57	155	10	245,470	35	10,903,765
Cognizant Technology Solutions Corp.	CTSH	58	154	31	101,821	50	8,344,250
Square Inc.	SQ	59	154	98	37,879	52	8,244,069
NIKE Inc Class B	NKE	60	152	63	57,120	55	8,080,795
Walgreen Boots Alliance Inc.	WBA	61	149	55	71,454	123	2,849,582
* Gilead Sciences Inc.	GILD	62	145	74	47,943	125	2,793,171
TJX Companies Inc. (The)	TJX	63	144	41	88,484	73	6,042,602
Bank of America Corp.	BAC	64	143	8	257,247	58	7,797,168
Waste Management Inc.	WM	65	143	100	37,631	94	4,437,792
Oracle Corp.	ORCL	66	141	42	87,478	77	5,658,941
Comcast Corp. Class A	CMCSA	67	141	35	98,734	81	5,173,656
** Moderna Inc.	MRNA	68	141	171	16,209	173	1,693,321
Constellation Brands Inc.	STZ	69	133	120	27,653	72	6,057,294
* QUALCOMM Inc.	QCOM	70	133	75	47,634	62	7,256,506
Canopy Growth Corporation	CGC	71	127	82	44,971	218	1,108,081
Mastercard Inc.	MA	72	126	124	26,389	43	9,419,128
Chevron Corp.	CVX	73	124	62	58,547	87	4,944,260
* Adobe Inc.	ADBE	74	123	156	18,717	44	9,360,946
Delta Air Lines Inc.	DAL	75	123	64	56,304	144	2,263,993
* NextEra Energy Partners, LP	NEE	76	122	44	85,060	67	6,562,358
FedEx Corp	FDX	77	121	151	19,265	85	5,001,566
Lockheed Martin Corp.	LMT	78	113	183	14,387	83	5,107,242
** Advanced Micro Devices Inc.	AMD	79	111	110	34,966	116	3,206,753
YUM! Brands, Inc.	YUM	80	107	79	47,057	82	5,108,508
**✦ Teladoc Health Inc.	TDOC	81	106	168	16,809	110	3,361,127
Gentex Corp.	GNTX	82	103	29	115,057	100	3,903,890
Tractor Supply Company	TSCO	83	100	67	55,480	57	7,799,359
Union Pacific Corporation	UNP	84	99	93	40,340	49	8,399,588
Mondelez International Inc.	MDLZ	85	99	65	55,909	113	3,269,003
Altria Group, Inc.	MO	86	96	38	91,339	104	3,744,915
Honeywell International Inc.	HON	87	93	109	35,094	60	7,464,393
Wells Fargo & Company	WFC	88	93	48	81,558	134	2,461,435
** Shopify Inc.	SHOP	89	89	253	7,274	53	8,233,239
Danaher Corp.	DHR	90	88	104	36,664	54	8,144,533
Dollar Tree Inc.	DLTR	91	87	137	22,937	133	2,478,069
** Zoetis Inc.	ZTS	92	86	153	18,944	118	3,135,192
Corning Inc.	GLW	93	86	72	50,999	169	1,835,953
Paychex Inc.	PAYX	94	85	92	40,517	103	3,775,357
American Tower Corp. Cl A	AMT	95	85	173	15,649	108	3,512,543
Deere & Co.	DE	96	84	148	19,677	79	5,294,175
Activision Blizzard Inc	ATVI	97	84	133	25,123	140	2,332,673
Factset Research Systems Inc.	FDS	98	83	145	21,330	63	7,092,296
CSX Corp.	CSX	99	83	89	41,851	101	3,797,938
• Carrier Global Corp.	CARR	100	83	99	37,723	190	1,422,899

❑ Viatris spin-off from Pfizer • UTX spin off Carrier Global and Otis; merge with RTX ✦ Teledoc merged with Livongo

SECOND 100 COMPANIES

BetterInvesting Magazine continues its expanded coverage of the most widely held stocks among investment club members nationwide by presenting the Second 100, companies that are among the 200 most popular holdings by active club investors in today's equity market.

Rank by No. of Clubs Holding	Company	Ticker	Number of Clubs Holding Stock	Total Value of Shares Held by BI Community on 12/31/2020
101	Duke Energy Corporation	DUK	81	$2,065,214
*102	Clorox Co.	CLX	80	2,417,897
103	Philip Morris International Inc.	PM	80	4,545,734
104	T. Rowe Price Group Inc.	TROW	79	9,466,441
105	Sysco Corp.	SYY	79	5,198,259
*106	Veeva Systems Inc.	VEEV	79	3,974,244
*107	Intuitive Surgical Inc.	ISRG	78	6,382,941
108	LKQ Corp.	LKQ	77	2,936,374
**109	NIO Inc.	NIO	76	1,271,167
110	International Business Machines Corp.	IBM	74	12,437,271
*111	Thermo Fisher Scientific Inc.	TMO	74	6,840,844
*✦112	Charles Schwab Corp.	SCHW	74	2,191,450
113	Yum China Holdings, Inc.	YUMC	74	2,021,190
**114	DocuSign Inc.	DOCU	74	1,796,501
115	ResMed Inc.	RMD	73	4,762,806
116	O'Reilly Automotive Inc.	ORLY	71	7,824,643
*117	Edwards Lifesciences Corp.	EW	71	4,306,568
118	Cigna Corp.	CI	71	2,330,870
119	Kraft Heinz Food Company (The)	KHC	67	884,857
120	Applied Materials Inc.	AMAT	67	3,195,462
**121	AstraZeneca PLC	AZN	67	611,915
122	Citigroup Inc.	C	66	1,132,434
123	Five Below, Inc.	FIVE	65	4,714,039
*124	Invesco QQQ Trust, Series 1	QQQ	64	10,837,204
125	Fiserv Inc.	FISV	64	8,716,761
126	Cummins Inc.	CMI	64	3,414,086
127	American Water Works Company, Inc.	AWK	63	2,864,987
128	General Mills	GIS	62	1,876,859
*129	Monster Beverage Corporation	MNST	61	2,827,695
•130	Otis Worldwide Corp. ●	OTIS	61	893,837
#131	DraftKings Inc. Cl A	DKNG	61	786,717
**132	Carnival Corp.	CCL	61	582,764
133	Illinois Tool Works Inc.	ITW	61	5,873,735
*134	Uber Technologies, Inc.	UBER	61	1,139,296
*135	Kroger Co.	KR	60	4,878,344
*136	Beyond Meat Inc.	BYND	60	507,468
*137	DR Horton, Inc.	DHI	58	4,965,730
138	Aurora Cannabis Inc.	ACB	58	71,177
139	Becton Dickinson and Company	BDX	57	3,319,667
140	Illumina Inc.	ILMN	57	2,593,735
141	ConocoPhilips	COP	57	1,888,225
142	BP p.l.c.	BP	57	893,704
143	Automatic Data Processing	ADP	55	4,530,044
144	Dupont De Nemours, Inc.	DD	55	3,537,227
145	Dow Inc.	DOW	55	2,072,094
146	Corteva, Inc.	CTVA	55	1,399,612
**147	Chewy, Inc.	CHWY	54	1,071,439
148	RPM International Inc.	RPM	53	4,692,886
149	Booking Holdings Inc.	BKNG	53	3,686,801
150	Phillips 66	PSX	52	1,372,757
151	General Motors Co.	GM	52	$613,361
152	Westinghouse Air Brake Technologies	WAB	52	253,766
153	Emerson Electric Co.	EMR	50	4,142,470
154	Colgate-Palmolive Co.	CL	49	3,281,889
155	Canadian National Railway Company	CNI	49	2,680,557
156	Kinder Morgan Inc.	KMI	49	1,063,253
*157	Kimberly-Clark Corp.	KMB	49	2,754,684
158	DIAGEO Plc ADR	DEO	49	1,426,638
159	Roku Inc.	ROKU	48	1,854,495
**160	Skechers USA Inc.	SKX	48	941,116
161	Eli Lilly & Co.	LLY	47	3,796,378
*162	McCormick & Co. Inc.	MKC	47	1,843,963
**163	Crowdstrike Holdings Inc.	CRWD	47	1,414,558
164	Taiwan Semiconductor Manufacturing	TSM	46	2,776,039
165	Ecolab Inc.	ECL	46	1,923,381
166	Dominion Energy Inc.	D	46	1,410,486
167	Tencent Holdings Limited	TCEHY	46	1,214,298
**168	Pinterest Inc.	PINS	46	680,253
169	Exact Sciences Corp.	EXAS	45	2,446,512
**✓170	T-Mobile US, Inc.	TMUS	45	1,448,204
171	Enbridge Inc.	ENB	45	1,021,940
*172	Broadcom Inc.	AVGO	44	2,690,724
173	Cerner Corporation	CERN	44	1,324,906
**174	Plug Power Inc.	PLUG	44	1,125,892
**175	Fortinet Inc.	FTNT	43	2,112,466
176	Hormel Foods Corporation	HRL	43	1,981,998
**177	Etsy Inc.	ETSY	43	1,855,047
178	Axon Enterprise Inc.	AXON	43	1,711,179
*179	Essent Group Ltd.	ESNT	43	1,660,408
**180	BlackRock Inc.	BLK	42	2,979,757
181	International Paper Company	IP	42	1,362,394
182	Micron Technology Inc.	MU	42	1,440,075
183	Valero Energy Corp.	VLO	42	900,219
184	Church & Dwight Co. Inc.	CHD	41	2,267,146
185	Sirius XM Holdings Inc.	SIRI	41	428,754
186	Norfolk Southern Corp.	NSC	40	3,224,458
187	Scotts Miracle-Gro Company	SMG	40	1,384,721
**188	Vertex Pharmaceuticals Inc.	VRTX	40	1,228,118
189	Marathon Petroleum Corp.	MPC	40	1,053,177
**190	SOLAREDGE TECHNOLOGIES INC.	SEDG	39	4,366,819
191	General Dynamics Corp.	GD	39	1,620,484
192	Lam Research Corp.	LRCX	39	5,674,462
193	J M Smuckers Co. (The)	SJM	38	1,648,532
**194	Marvell Technology Group Ltd.	MRVL	38	1,570,438
195	Southern Co.	SO	38	1,338,083
196	US Bancorp	USB	38	1,098,446
197	Nucor Corp.	NUE	38	878,958
198	SPDR S&P 500 ETF Trust	SPY	37	2,653,757
199	Hershey Co.	HSY	37	2,051,530
**200	Electronic Arts Inc.	EA	37	1,187,588

*Moved up 5 or more places since last year
**New to the Top 200
• UTX spin off Carrier Global and Otis; merge with RTX
✦ Charles Schwab and TD Ameritrade merger
✓ T-Mobile and Sprint merge
IPO 2020

TOP 100 SURVEY

Alphabetical Listing of the Top 200 Companies

Company	Rank
3M Company	52
Abbott Laboratories	34
AbbVie Inc.	17
Activision Blizzard Inc.	97
Adobe Inc.	74
Advanced Micro Devices Inc.	79
Aflac Inc.	35
Air Lease Corp.	57
Alibaba Group Holding Ltd.	31
Alphabet Inc. Cl A	4
Altria Group, Inc.	86
Amazon.com Inc.	2
American Tower Corp. Cl A	95
American Water Works Company, Inc.	127
Amgen Inc.	54
Apple Inc.	1
Applied Materials Inc.	120
AstraZeneca PLC	121
AT&T Inc.	23
Aurora Cannabis Inc.	138
Automatic Data Processing	143
Axon Enterprise Inc.	178
Bank of America Corp.	64
Becton Dickinson and Company	139
Berkshire Hathaway Inc. Cl B	13
Beyond Meat Inc.	136
BlackRock Inc.	180
Boeing Co.	30
Booking Holdings Inc.	149
BP p.l.c.	142
Bristol-Myers Squibb Co.	46
Broadcom Inc.	172
Canadian National Railway Company	155
Canopy Growth Corporation	71
Carnival Corp.	132
Carrier Global Corp.	100
Caterpillar Inc.	44
Cerner Corporation	173
Charles Schwab Corp.	112
Chevron Corp.	73
Chewy, Inc.	147
Church & Dwight Co. Inc.	184
Cigna Corp.	118
Cisco Systems Inc.	26
Citigroup Inc.	122
Clorox Co.	102
Coca-Cola Co. (The)	47
Cognizant Technology Solutions Corp.	58
Colgate-Palmolive Co.	154
Comcast Corp. Class A	67
ConocoPhilips	141
Constellation Brands Inc.	69
Corning Inc.	93
Corteva, Inc.	146
Costco Wholesale Corp.	8
Crowdstrike Holdings Inc.	163
CSX Corp.	99
Cummins Inc.	126
CVS Health Corporation	14
Danaher Corp.	90
Deere & Co.	96
Delta Air Lines Inc.	75
DIAGEO plc ADR	158
Disney (Walt) Co.	5
DocuSign Inc.	114
Dollar General Corp.	40
Dollar Tree Inc.	91
Dominion Energy Inc.	166
Dow Inc.	145
DraftKings Inc. Cl A	131
Duke Energy Corporation	101
DuPont de Nemours, Inc.	144
Ecolab Inc.	165
Edwards Lifesciences Corp.	117
Electronic Arts Inc.	200
Eli Lilly and Co.	161
Emerson Electric Co.	153
Enbridge Inc.	171
Essent Group Ltd.	179
Etsy Inc.	177
Exact Sciences Corp.	169
Exxon Mobil Corporation	36
Facebook, Inc.	10
Factset Research Systems Inc.	98
Fastenal Co.	41
FedEx Corp.	77
Fiserv Inc.	125
Five Below, Inc.	123
Ford Motor Co.	55
Fortinet Inc.	175
General Dynamics Corp.	191
General Electric Co	43
General Mills	128
General Motors Co.	151
Gentex Corp.	82
Gilead Sciences Inc.	62
Hershey Co.	199
Home Depot Inc.	9
Honeywell International Inc.	87
Hormel Foods Corporation	176
Horton, DR, Inc.	137
Illinois Tool Works Inc.	133
Illumina Inc.	140
Intel Corp.	19
International Business Machines Corp.	110
International Paper Company	181
Intuitive Surgical Inc.	107
Invesco QQQ Trust, Series 1	124
Johnson & Johnson	7
JPMorgan Chase & Co.	50
Kimberly-Clark Corp.	157
Kinder Morgan Inc.	156
Kraft Heinz Food Company (The)	119
Kroger Co.	135
Lam Research Corp.	192
LKQ Corp.	108
Lockheed Martin Corp.	78
Lowe's Cos. Inc.	33
Marathon Petroleum Corp.	189
Marvell Technology Group Ltd.	194
Mastercard Inc.	72
McCormick & Co. Inc.	162
McDonald's Corp.	28
Medtronic plc	48
Merck & Co. Inc.	45
Micron Technology Inc.	182
Microsoft Corp.	3
Moderna Inc.	68
Mondelez International Inc.	85
Monster Beverage Corp.	129
Netflix Inc.	25
NextEra Energy Partners, LP	76
NIKE Inc. Class B	60
NIO Inc.	109
Norfolk Southern Corp.	186
Nucor Corp.	197
NVIDIA Corp.	24
Oracle Corp.	66
O'Reilly Automotive Inc.	116
Otis Worldwide Corp.	130
Paychex Inc.	94
PayPal Holdings Inc.	15
PepsiCo Inc.	18
Pfizer Inc.	12
Philip Morris International Inc.	103
Phillips 66	150
Pinterest Inc.	168
Plug Power Inc.	174
Procter & Gamble Company, The	20
QUALCOMM Inc.	70
Raytheon Technologies Corp.	42
ResMed Inc.	115
Roku Inc.	159
RPM International Inc.	148
salesforce.com, inc.	39
Scotts Miracle-Gro Company	187
Shopify Inc.	89
Sirius XM Holdings Inc.	185
Skechers USA Inc.	160
Skyworks Solutions Inc.	37
Smuckers, J M Co., The	193
SOLAREDGE TECHNOLOGIES INC.	190
Southern Co.	195
Southwest Airlines Co.	32
SPDR S&P 500 ETF Trust	198
Square Inc.	59
Starbucks Corp.	11
Stryker Corp.	29
Sysco Corp.	105
T. Rowe Price Group Inc.	104
Taiwan Semiconductor Manufacturing Co. Ltd.	164
Target Corp.	51
Teladoc Health Inc.	81
Tencent Holdings Limited	167
Tesla Inc.	21
Thermo Fisher Scientific Inc.	111
TJX Companies Inc. (The)	63
T-Mobile US, Inc.	170
Tractor Supply Company	83
Uber Technologies, Inc.	134
Ulta Beauty, Inc.	49
Union Pacific Corporation	84
United Parcel Service, Inc. Cl B	53
UnitedHealth Group Incorporated	38
US Bancorp	196
Valero Energy Corp.	183
Veeva Systems Inc.	106
Verizon Communications Inc.	22
Vertex Pharmaceuticals Inc.	188
Viatris Inc.	27
Visa Inc.	6
Walgreen Boots Alliance Inc.	61
Walmart Inc.	16
Waste Management Inc.	65
Wells Fargo & Company	88
Westinghouse Air Brake Technologies Corporation	152
Yum China Holdings, Inc.	113
YUM! Brands, Inc.	80
Zoetis Inc.	92
Zoom Video Communications, Inc.	56

The Era Saw the Dawn of Our Current Digital Age

Our First Top 100: a Few Lessons From 1984

by Sam Levine, CFA, CMT, Contributing Editor

This is another in our occasional history stories in honor of NAIC/BetterInvesting's 70th anniversary year.

Looking back on the Top 100 list of 1984 will bring some of us back to our childhoods and have us reminisce about our aspirations and expectations for the country. It will also remind us about capitalism's relentless competition and unforgiving nature. Companies need both competitive edges and near flawless execution to survive intact for 37 years.

The 1984 list of club holdings for year-end 1983 had only a few seeds of what our current digital economy would eventually become. Apple and Intel were minuscule compared to their size today, but Apple would introduce the MacIntosh on Jan. 24 that year (remember the 1984 Super Bowl commercial?). IBM remains a juggernaut but surrendered much of its near monopolistic power to upstarts such as Dell/EMC.

Some of the biggest technology news in 1984 didn't yet appear on the list; AT&T's breakup into separately run and traded companies would turn into a boon for innovation and — thankfully — lower phone prices for consumers. Ironically, most of the Baby Bells have since merged with each other. Many famous technology names didn't make it. Tandy Corporation, Verbatim and Wang Laboratories failed, each from their own missteps.

Phillip Morris had as close to an unassailable business model as any Harvard MBA could conceive. The Marlboro Man roped in new customers, hooked them with nicotine, branded them with relentless marketing and then regularly raised prices and nicotine levels. But even their highly paid lobbyists couldn't withstand regulators. The company was forced to diversify into less attractive businesses and spin off its gasping tobacco operations.

Photography company Eastman Kodak had a similar business model as Phillip Morris. It sold cameras cheap but sold the film dear, an innovative strategy that worked for decades. Even though the company invented the self-contained digital camera, it couldn't manage the transition to digital photography.

So, Where's the Beef?

Though maybe not the most glamorous names, several survivors are large consumer-focused companies with superior marketing chops. Wendy's worked magic with an old lady yelling, "Where's the beef," and turned its everyman hero founder Dave Thomas into a media superstar.

Michael Jackson was the pitchman for Pepsi, which worked out nicely for both parties until MJ's hair caught fire while taping an ad.

BetterInvesting's First Top 100 List. The debut Top 100 feature in April 1984 was just that, 100, with no second 100 as featured today. To see the full Top 100 of yesteryear, check out the April 2021 magazine website.

Chi-Chi's and Shoney's didn't make it, having neither the size nor the differentiation to compete for the long term with McDonald's and Wendy's. Chi-Chi's did try differentiating itself by offering a side of hepatitis-A at one of its restaurants with disastrous results.

Did you want a new drug in 1984?

Several large health care companies were more than happy to oblige. Their focus on developing highly profitable blockbuster drugs, acquiring promising startups and protecting their products with patents worked out well for Abbot Laboratories, Glaxo Holdings, American Home Products, National Medical Enterprises, SmithKline Beecham and their successors.

Topping the Charts

How can we identify companies that will make it for the

next 37 years? As the movie "Spinal Tap" taught many of us, "There's a fine line between stupid, and, uh…clever." A company will not survive simply by offering, say, amplifiers that go to 11 (which is one more than 10).

Superior management is essential. Fortunes can be made from wunderkind like Steve Jobs, Jeff Bezos or Mark Zuckerberg, but often the best run firms are the ones that avoid splashy but unprofitable acquisitions for growth's sake. They simply focus on consistently building shareholder wealth through managing or even reducing costs, increasing prices and paying out higher dividends and buying back shares.

Focus is key. With Jack Welch's General Electric serving as the exception, conglomerates were beginning to fade in the mid-1980s. Investors found that a cadre of highly trained professional managers and slightly lower borrowing costs aren't enough to successfully manage a patchwork of largely unrelated businesses. Companies like ITT and GTE turned into shadows of what they once were.

But superior management is not enough. Companies need a persistent advantage, often called a moat, that discourages new competitors who might drive down prices or eat away market share. It's expensive to go into the commercial jet business. Without the continuous threat of new competition, Boeing can focus on simply beating its one major rival. But apparently insurmountable barriers to entering an industry aren't invincible either. Chrysler is no longer an independent entity and Elon Musk is building cars and spacecraft.

Patents are a valuable if finite moat. They can offer profit protection while the company develops new products. That will help explain Big Pharma's persistence over the years. But many smaller drug companies have fallen by the wayside. The magic combination might be patents, firm size and the right army of lobbyists.

Another winner, or at least survivor, from 1984 is Big Oil. Putting aside long-term viability questions surrounding climate change, energy companies compete by controlling key assets. They seek to own and control raw materials, expensive refineries and/or the needed pipelines. Though not appearing on the list, utility companies are permitted to maintain legal monopolies at the cost of growth being limited by regulators.

Even the most mundane products or services can create and maintain a moat. Consistently powerful marketing can block out competition and allow a company to raise prices faster than costs. That's why sugar water (as Steve Jobs famously called Pepsi) and fast food burgers can be so profitable.

These competitive advantages won't last forever. Amazon effectively owns the e-commerce space. Google and Facebook jointly control online advertising. But that won't last. Voters and their elected officials are becoming increasingly jealous of Amazon's, Alphabet's and Facebook's power. Tastes evolve. Innovation can disrupt an industry at the drop of a hat. Certainly, the pandemic will have a long term impact on consumer behavior.

Wax On, Wax Off

Will every stock we buy be in the Top 100 list in 2058? We can hope so, but that's not necessarily the goal. Our goal should always be to buy a consistently growing stock at a reasonable price and to sell it only when the company is either not growing or is trading high enough to warrant finding the next opportunity. And the way we find those companies and know when it's come time to sell is through consistent and diligent study. Wax on, wax off, fellow grasshoppers. B

Contributing editor Sam Levine does not own any of the stocks mentioned in this story.

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Family With California Roots Aims to Pass Investing Skills to Next Generation

'We're All Descendants of Claron and Maxine'

As told to Angele McQuade by Judy Harper and the members of the CBJ Family Investment Club of Salem, Indiana (Central Indiana Chapter). For more on family legacies, see Page 28.

In the early 1970s, Claron — our family patriarch — gifted each of his and his wife Maxine's five children (then ranging in age from 7 to 17) $1,000 of Micro Precision Bearings (MPB) stock as a way of helping them learn about finances. Each child eventually sold their appreciated investment, putting the money toward college expenses.

After Claron invested an inheritance in the stock market in 1993, he realized that not only did he need more financial education himself, he wanted more for his children, too. Two years later, he and Maxine invited their children (now ages 27 to 37) to start an investment club together. The CBJ Family Investment Club was formed in 1995 with 16 family members, and today we number 29. CBJ comes from the initials of the founding members' surnames: Crow, Blackwell and Johnson.

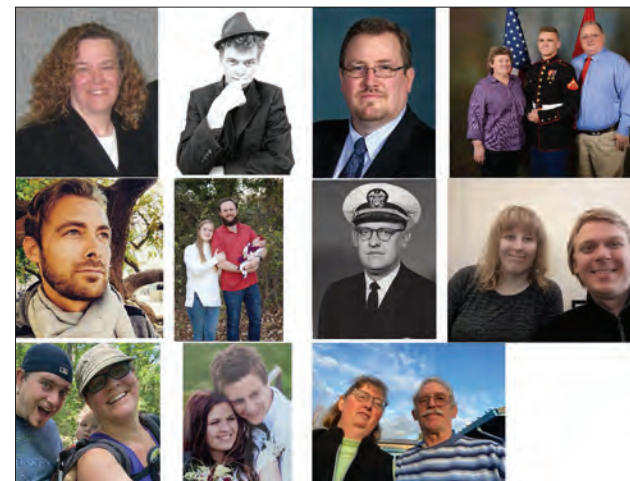
In the beginning, we all lived within driving distance of Claron and Maxine's house in California, so we met there in person. Our members now live in California, Indiana, Texas, North Carolina, Colorado, Tennessee, New York, and Germany, and we hold meetings by phone or video conference.

Education of our youngest members is a top priority. Claron and Maxine started a tradition of purchasing Disney stock in the name of each grandchild born, and whenever dividend checks arrived, they and the child had a conversation about what to do with that money.

Sometimes it was spent, but usually it was deposited in the grandchild's savings or investment club account. Now, as each grandchild graduates from college, they're presented with their original stock certificate (beautifully decorated with Disney characters) to do with as they wish.

Our youngest members also learn about each stock under consideration with their parents in advance, then are encouraged to "vote" for whichever stock they think the club should buy at each meeting. (While everyone participates in the voting process, votes from children under 8 don't count toward actual purchases.)

Because each family member automatically becomes a club member, interest ranges from very engaged to disinterested. We've found it's easier to keep interest high when we invest in companies that produce products or services we use regularly, such as Amazon, Cisco, Alphabet, Mastercard, Owens Corning, Paychex and Sony.



The CBJ Family Investment Club. First row: Judy Harper, Parker Blackwell, Doug Crow, Sandy Blackwell, Cody Blackwell and Jeff Blackwell. Second row: James Johnson, Emily Miller, Dallin Miller, Georgia Miller, Claron Crow, Jenna Blackwell and Logan Blackwell. Third row: Robbie Franklin, Spencer Franklin, Mary Franklin, Brenna Hanchett, Ky Hanchett, Karen Crow and Steven Crow. Not pictured: Caiden Pflueger, Bruce Crow, Jennifer Crow, Alyssa Crow, Austin Crow, John Crow, Jen Crow, Ed Crow and Jon Crow.

Our current portfolio of 15 stocks was valued at $645,692 near the end of 2020. We've been through several down markets over the years, and each time it's become easier to not react emotionally. When the market tanked due to the COVID-19 crisis, no one suggested we sell. After all, stocks were wonderfully undervalued, a perfect time to buy!

Though Maxine died in January 2018, her passion for learning has been passed on to us, her children. Our original goal for the club was to gain the education and confidence to invest in our own personal portfolios, and we've all accomplished that while also staying in touch more as a family. Our new goal is to make sure this education and confidence continues to be passed on to the next generation.

Angele McQuade is the author of two books, including "Investment Clubs for Dummies." She lives near Bethesda, Maryland, where she also writes picture books and novels for children. If you'd like to be featured in a future profile, please contact Angele through her website: www.angelemcquade.com.

Retired Professor Says of BI Convention: 'The Experience Will Light Up Your Brain'

Why I Love BINC and Believe You Would, Too

by Dan Perlman, President, BetterInvesting Online Chapter

In my day job, I am a semi-retired family studies professor. Stereotypes of professors have a kernel of truth. I like to read books, dress casually, figure things out and listen to National Public Radio. Some have the belief that professors have a cushy job because they only teach 10 hours a week. Not true. The joke that "Professors can work any 60 hours of the week they want" is more accurate.

Consistent with the stereotype, however, during my career I have traveled near and far to get together with other professors to talk about our field. These gatherings are called conferences. Professors, graduate students and even undergraduates get together to learn about the latest in the field, meet new people and catch up with old pals. I have had lots of fun, seen new places, and benefited professionally in numerous ways from these meetings. BetterInvesting has an annual BetterInvesting National Conference (BINC) that rivals the very best academic conferences I have attended.

I am a long-time member of BI, one who goes back to when it was NAIC and we did Stock Selection Guides using graph paper. It wasn't until I started working only 40 hours a week in 2018 that I went to my first BINC. I am sorry I waited so long. Attending BINC is among the best ways to learn about being a successful lifelong stock investor. You'll spend four days with hundreds of other people knowledgeable about and interested in, equity investing. The experience will light up your brain, giving you new investing skills and ideas for stocks you might want to study now!

Here are some of the things that I liked about BINC and I think you will, too. Other groups' conferences are held all over, sometimes in outrageously expensive hotels. The BINCs I have attended have been in hotels that were easily accessible from the area's airport, reasonably priced and the right size for the conference. By right-sized, I mean BINC attendees occupied a lot of the hotel so you were running into each other and it was easy to understand the layout of the conference space, but big enough so the hotel could comfortably accommodate the delegates.

During the conference breakfasts, lunches and dinners are taken together as part of the registration fee. Sitting at tables together is a great way to meet people, share ideas and process the experience you are having. Meals are accompanied by presentations by BI-type sponsoring corporations where they pitch the virtues of their company. During the opening nights of the conferences I have attended there was a "Let's Talk Stocks" panel during which BI gurus picked stocks they believed would do well in the coming year and reviewed how their last year's pick had done. (Well — not surprisingly.) Key talks, awards and information about BI's current status and directions are also presented in conjunction with meals.

■ **NEW 70TH BINC DATE: Oct. 21-24, 2021, in Dallas at the Westin Dallas Park Central Hotel. Register at: www.betterinvesting.org/binc**

The heart of BINCs are the presentations. They are divided into skill levels: beginner, intermediate, advanced and everyone. They cover a range of topics. A lot have to do with how to best analyze stocks, others are with experts sharing their stock picks, portfolio-level matters, using the SSGs, etc. There has been a designated beginners' series. For me, the three best parts of the presentations are: a) the excellent information I learn, b) the skill with which speakers present and c) that I go home with information I can actually use.

Two final aspects of BINC that I especially value are its display area and its size and pace. Apropos of the display area, corporations have booths where members of their investor relations staff will talk about their companies and answer your questions. You also will likely be able to renew or extend subscriptions to newsletters and get BI-related services/products at a discounted price.

Apropos of BINC's size and pace, it is very nice. You will be kept busy yet there will be times during meals, between sessions, in the lobby, etc. to talk to other attendees. Also you may recognize by name speakers, BI staff members and/or volunteer organizers. You can meet and talk titho them. The first BI I attended I had dinner with one of the authors who writes articles for *BetterInvesting Magazine*, and I talked with a speaker whom my chapter subsequently invited to present at the chapter's annual meeting.

My bottom line: Attend this year's BINC, don't wait. If you enjoy equity investing you will love BINC.

Through Tough Times and Boom Years, Group Has Stayed Together Since Around 1976

Colorado Club: 'We Are Active Traders'

by St. Vrain Investment Club

The oldest record we have of the St. Vrain Investment Club, of Boulder County, Colorado, is a stock Summary Sheet from April 1976. The club was obviously organized before this, since the collection of capital from the members and purchase of stock would have taken some time. Should we guess the club was formed before the bear market in 1973? Should we guess it was formed after the recession, which might be 1975?

St. Vrain Investment Club. Clockwise from the upper left: Di Anne Franklin, Lee Cline, Marilyn Akeson, Caroly Murray, Elaine Gockel, Carol Krismann, Rose Hansen, Carol Achatz, Rita Rosson, Bettijean Mintling, Jeannie Heiman, Leslie Anderton, Sue Hayley, Diana Shepard and Ginny Hayden. Rosalie Majkowski, Dixie Dworak, Cherry Marcellus and Anne Holmes are not pictured.

What we do know is that in April 1976 the club owned Beech, Storage Tech, Jones Inter, Solar Energy, Solar Cell, MCI and Frontier. There is a break in the archive records after 1982. But the club may have been in operation during that period. We just don't have physical records for that time. In the late 1980s, there was a payout to all members of their holdings in the club.

In the early 1990s the club had a healthy portfolio. In the archives, we see that in 1995 the club owned Pepsico, Toys "R" Us, Procter & Gamble, Cisco, CoastCast, BI Inc, JLG Industries, Merck and Walmart.

Again the club hit a rough patch from July to October 1996 when the club was back to cash. But that didn't last long. The club reconstituted. In July 1998 changes were suggested to the articles of agreement. By 1999 the portfolio included Cisco, Home Depot, Interpublic Group, Mattel, Mentor Corp., R&B Falcon, Starbucks and Wells Fargo. And most of the members were back. In March 1999, a member suggested the club join NAIC (National Association of Investment Clubs, later known as BetterInvesting). In April the club joined as a club and invited members to join as individuals if they wished.

The dotcom bust began in March 2000 but didn't reach a bottom until October 2000. In March 2000, the club discussed the possibility of a disbursement. For context, in the previous year three members left in one month. In July 2000, the club decided to pay a dividend to members of $4,960. In 2001, there was a "BI Report" as a regular feature of club meetings.

Through the turbulent period from 2007 to 2009, the portfolio included Honda, Becton Dickinson, Cisco, FILR Systems, BLDRS Index, ManTech, Windstream, Abbott Laboratories, Netflix, Sysco, United National Group, Costco and Lancaster. The market value of the portfolio was about $48,000.

Between 2009 and 2019 the portfolio more than doubled to over $105,000, after paying out $87,000 to departing members during the period. In 2017, the club adopted the myICLUB accounting and tax software systems .

With rare exceptions, today we own shares in at least as many companies as we have members. We are not buy-and-hold investors. We are active traders. We have both bought and sold 60 stocks in the last decade, including: Alliance Bernstein, Abbott Laboratories, American Electric Power, AGCO, Applied Materials, AdvanSix, Comcast, CVS Health, McDonald's, MDC Holdings, Medtronic, MDU Resources, Netflix, Paychex, PetSmart, Panera Bread, Synchrony, Sysco, AT&T, Tapestry, Under Armour, United Foods, United Technologies, Robert Half, Vodafone Group and Wells Fargo.

The holiday party in December 2019 had a Polynesian theme. We learned to dance the hukilau. We began meeting on Zoom in early 2020.

Program Can Be of Great Use in Choosing Mutual Funds

Creating (and Saving) Morningstar Watch Lists, Part 2

by Robert Shaw, Vice President, Southeastern Michigan Chapter

We explored creating a Watch List in Morningstar in the March issue (*see Page 45*). Now that you have created a Watch List, let's talk a little about some of the ways to use this list.

First, you may find it useful to create a Watch List of your current portfolio of funds or funds in which you are thinking of investing. Then, you may find it useful to create additional Watch Lists of fund categories in which you are most likely to invest. For example, large-cap growth, small-cap value, intermediate bond, short-term bond, allocation fund, international mid-/small-cap, etc. Morningstar will not allow you to create more than 25 Watch List categories, so be sure to plan accordingly.

In order to determine what category best fits the fund in question you have several options. The two I use most frequently are provided by Morningstar. On the fund Quote page there is a label of Category. Most of the time I just use that description to decide what category to use, but sometimes I will go to the fund's Portfolio tab for a more complete description.

Under the Portfolio tab you will find the fund's Stock Style Map, which will provide you with a more detailed description of the fund's holdings. This Stock Style Map and nearby Asset Allocation list provide a lot of insight into what is the most appropriate category for the fund in question.

Creating Your Watch List

When you first create your Watch List, a Morningstar preselected list of data points appears in your Watch List. You may select the Customize My View button and change the data points used. The column order may also be changed by using the Customize My View function. The width of these columns is not static; they also may be changed, but there are limits to the degree of width reduction allowed.

To make this change simply place your cursor on one of the vertical lines separating the columns and the cursor will change to an arrow symbol; now you can move the line in either direction. By making the columns narrower you can show more columns simultaneously on your screen. I use a number of different data points when choosing one fund over another and the more parameters I can view at the same time the easier it is for me to make a decision.

I find that information about the funds' one-year, three-year and five-year total returns is very helpful. I also like to look at Morningstar's Risk and Return grades as well as the funds' Beta and Standard Deviation. Other data under Customize My View that can be useful are Fund Manager Tenure, Tax Cost Ratio, Fund Size, Number of Holdings, among many others. I particularly like Return % Rank Category/Industry.

> **"Morningstar will not allow you to create more than 25 Watch List categories."**

Answers to Your Questions

Finally, as you work with the various categories and column descriptions, you are likely to have some questions about some of the terms used by Morningstar. For a quick answer click on Customize My View. When you click on the desired data point, it offers a definition of the parameter indicated. Another source of reference is under the Learn tab on the home page and is accessed by selecting the Investing Glossary.

Help From Your Library

Another way, if you have access to the Morningstar Investment Research Center (MIRC) at your local library, is to open the MIRC application and click on Help and Education. There, on the right side of the page, you will find the Glossary and Methodologies tab. You can often find the answer to your question in this location.

By using the library MIRC, in conjunction with a personal Morningstar account, you can have most of what a Morningstar subscription offers without the extra fee. One feature that is missing with your free Morningstar account is the portfolio X-Ray function, which is only available with a subscription to Morningstar. You can use the MIRC to X-Ray a portfolio, but the portfolio must be entered each time and cannot be saved for future use. If you have several different portfolios to monitor you may find the subscription worth the extra cost.

After using this Watch List function for many years I have found it indispensable in making sensible choices for the mutual funds I own or am considering.

Robert Shaw teaches a class on Morningstar at the Osher Lifelong Learning Institute at the University of Michigan, He is a retired pilot and flight instructor.

Why BetterInvesting Does Not Recommend Getting Involved in This Type of Market Game Playing

Market Madness: Short Selling and the Short Squeeze

by Dennis Genord, Director of Education and Chapter Relations

In case you missed all the ruckus in the news involving the short squeeze of GameStop (ticker: GME) stock (among others) here's a recap. In the final weeks of January 2021 a group of traders coordinated an effort to drive up the price of GameStop shares for a variety of reasons — one being to send a message to the Wall Street elite that they are not the only players in the market.

Driving the price of the stock up is exactly what they did. GameStop shares went from just less than $40/share on Jan. 20 to just over $347/share on Jan. 27. The share price has been volatile ever since with a closing price of $92.41 at the time of this writing on Feb. 3. This share price increase was not based on an improvement in company fundamentals, improved business performance or a bright outlook for the company.

This action taken by the group of traders was mainly to have a devastating effect on those individuals and institutions (hedge funds, etc.) that had shorted the stock, and they did so by setting off what is called a short squeeze. You might be wondering how an increase in the company's share price could be a bad thing.

> "Short selling is a trading strategy that speculates on a decline in a stock's price."

What Is Short Selling?

Let's take a closer look at both short selling and the short squeeze to help us better understand the situation.

Short selling a stock is a trading strategy that speculates on the decline in a stock's price. It's a strategy that should only be utilized by experienced (and some might say pessimistic) traders.

Typically with short selling, a trader opens a position by borrowing shares of a company from a broker-dealer. To open a short position, a trader must have a margin account that allows investors to borrow money to buy securities. Traders will typically have to pay interest on the value of the borrowed shares while their position is open.

To close a short position, a trader buys the shares back on the market and returns them to the broker-dealer. Their hope is that the price paid for the shares to close the position is less than the price they borrowed the shares at. The difference between the amount borrowed and the amount paid to close the position reflects the profit or loss experienced by the trader. Interest charged, commissions and other charges must be taken into account by the trader as these will eat into the potential profits or increase the losses depending on the situation.

Let's Take a Look at a Couple of Examples

Example One

A trader believes that a stock currently trading at $100/share will decline in price in the next two months. The trader borrows 200 shares of the company from the broker-dealer and sells them to another investor. The trader is now short 200 shares of the company since they sold shares that they borrowed. There's no guarantee that shares of a company will always be available to short due to the number of shares already shorted by other traders.

Five weeks later, the company shares that were shorted had declined in value to $50/share. Seeing a nice profit, the trader decides to close the short position. To close the position the trader buys 200 shares for $50/share on the open market to replace the shares borrowed. The trader's profit on this short sale, is

$10,000: ($100 - $50 = $50 x 200 shares = gain of $10,000)

Interest charged, commissions and other charges must be taken into account to arrive at the true profit.

Example Two

Let's use the same scenario in Example One, but this time the company shares that were shorted increased in value and continue to show promise of additional share price increase. The share price has increased to $140/share. The trader decides to close the short position to head off the potential for further loss.

To close the position the trader buys 200 shares at $140/share on the open market to replace the shares borrowed. The trader's loss on this short sale is

$8,000: ($100 - $140 = a negative $40 x 200 shares = loss of $8,000)

Interest charged, commissions and other charges must be taken into account to arrive at the true amount of loss.

As you can see by the examples there is the possibility of making a good profit, but the risk of loss on a short sale is theoretically unlimited since the price of any stock can increase and increase without limit.

Closing a Short Position

When it comes time to close a short position, the trader could have trouble finding enough shares to buy on the open market if there are a lot of other traders shorting the stock, especially if the stock is thinly traded to begin with — not many shares being transacted, or the stock is being purchased by momentum investors looking to profit on the unexpected run up of the stock price. When this happens sellers can get caught in a short squeeze loop if a shorted stock starts to greatly increase in value.

Let's Examine What a Short Squeeze Looks Like

A short squeeze can happen when there is enough increased demand for a stock that also has a lot of sellers making short sales. In a short squeeze there are long buyers and the short sellers. This scenario creates the ideal environment of factors that push stock prices higher and higher over a short period of time. Momentum investors are buying the shares, which forces the short sellers to buy the stock in an attempt to cut their losses. As they buy, this drives the price even higher.

And often a stock with a troubled future that attracts a short seller will have minimal trading volume, so small changes in demand can move the price dramatically.

Up Next? GameStop shares were hit by a short squeeze in January led by investors in a Reddit chatroom. It remains to be seen if other stocks will be targeted in the future.

As discussed, short sellers open positions on stocks that they believe will decline in price. However rational and logical their thinking is, it can be upended quickly. In the case of GameStop the group of traders was the factor behind the short squeeze that the short sellers of GameStop shares didn't see coming. Many of the short sellers in this case had placed large bets that the price of GameStop would fall. They were justified in their thinking by the poor performance of GameStop. The fundamentals of the company tell the story. Many of them realized huge losses. In general, selling short can be costly if the seller speculates wrong about the price movement of a stock. Investors who buy stock can only lose 100% of the money invested if the stock moves to zero, but the risk of loss on a short sale is theoretically unlimited.

Avoid Risky Games

Speculating on the decline of a stock's price is what makes this type of short-term strategy the direct opposite of investing in good quality stocks for the long term as BetterInvesting has taught its members for over 70 years. In the long term a company's earnings and fundamentals are the key drivers of stock price appreciation.

Beginning investors should avoid the risky games played in the stock market, and turn off the noise and distraction of the minute-to-minute reporting and focus on fundamental stock investing. The BetterInvesting style of investing has, and always will, focus on the ability of company management to generate strong and consistent earnings over long periods of time. And for that the long-term investor will be rewarded. B

FINRA

Continued from p. 14

spreading out your investments both across and within different asset classes — can help you manage your risk.

Contact FINRA to Report Misconduct

If you are aware of unfair practices or specific instances of abusive or prohibited conduct, FINRA wants to know about it immediately. File an investor complaint through the FINRA Investor Complaint Center or file a tip using our online regulatory tip form.

When significant market events occur, it can be challenging to sort out what is actually happening, especially with a 24-hour news cycle and constant chatter from social media channels. To protect investors and ensure the market's integrity, FINRA works every day to ensure that everyone can participate in the market with confidence. If there is market manipulation or other misconduct by market participants, FINRA will investigate and hold wrongdoers accountable. Where we lack jurisdiction over those who engaged in misconduct, we coordinate and share any information we uncover with law enforcement and other regulatory agencies to help them do their jobs. B

Websites of Interest

Options A-Z: The Basics to The Greeks, FINRA
www.finra.org/investors/insights/options-z-basics-greeks

Trading Options: Understanding Assignment
www.finra.org/investors/insights/trading-options-understanding-assignment

FINRA is the largest independent regulator for all securities firms doing business
in the U.S.

Its chief role is to protect investors by maintaining the fairness of the U.S. capital market.

Using This Section

In this section readers seeking to network with other long-term investors will find resources for information about programs in their communities. Meetings provide investment education for interested individuals of all ages and experience levels.

We've listed each BetterInvesting chapter along with the chapter's website, contact information and whether the chapter offers:

- **NEW** – new meetings listed at the chapter website
- **MC** – model club meetings for learning about club operations and stock selection
- **CV** – club visits during which a chapter volunteer can answer questions about operations and portfolio management
- **SSG** – upcoming classes on the Stock Selection Guide and related stock study forms
- **SOFT** – upcoming seminars on using computers and BetterInvesting-related software
- **TREAS** – upcoming classes for club treasurers and those interested in club accounting
- **CG** – Computer Group

Upcoming Investors Fairs, Educational Fairs, annual meetings and other major events are listed at the end of this section. For current details on any meeting, go to the relevant chapter's website.

We urge investors to contact the chapter for full details about any event and to learn of any changes in time or location.

The regional programs described in this section are the heart of BetterInvesting's educational effort. Some request a modest fee to defray costs, while others are free.

BetterInvesting's objective is to help people learn about long-term investing in an atmosphere in which they are free from pressure to buy anything.

CHAPTER CONTACTS

Contact your local chapter for details such as changes in time or location. You may also go to the BetterInvesting website at **www.betterinvesting.org** and visit **My Chapter**.

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NEW • CV • SOFT

WYOMING

See Colorado, Rocky Mountain

BetterInvesting's **Online Chapter** offers support both to members and clubs without a local chapter and to the public. The chapter's leadership provides a variety of high-quality programming and support.

The leadership of the **Online Chapter** is Jane Chatterjee, Chair; Dan Perlman, President; Hany Michael, Executive Vice President; Susanne Koster, Secretary; Cliff Trent, Treasurer; Howard Johnson, VP–Club Support; Jie Eagleson, VP–Communications; Joe Farrell, VP–Model Clubs and Visit-A-Club; Saul Seinberg, VP–Education; Linda Hunt, VP–Outreach Programs; Susanne Koster, Director of Satellite Operations. Visit the **Online Chapter** at **www.betterinvesting.org/online**

ANNUAL MEETINGS

FLORIDA
South Florida
8:30 a.m. – 2:30 p.m., March 27
2:30 p.m. – 3:30 p.m., March 27
Online
Investor Education Day, Annual Meeting and Election. Getting Money Smart with Doug Gerlach and Phil Keating, CFA. Doug will present Smarter Stock Selection in Seven Easy Steps; 10 Dumb Mistakes Investors Make and How to Avoid Them; Adding Growth to Your Portfolio with Small and Midsized Stocks; and Profit Margins, the Key to Company Quality. Club portfolio winners will be presented by Phil Keating, CFA. Cost for education day: $15. Contact: contact@southflorida.betterinvesting.net. Free annual meeting and election follow. Register at website below.
www.betterinvesting.org/southflorida

SOUTH CAROLINA
South Carolina
7:30 p.m. – 8:30 p.m., June 17
Online
Annual Membership Meeting and Election. All BetterInvesting members and guests are invited to join us. At this meeting our president will give a brief summary of this year's accomplishments to date and plans for the remainder of the year. The chapter membership will be voting for a slate of directors to lead our chapter in the upcoming fiscal year starting Oct. 1, 2021. Cost: free. Registration: See website below. Contact: contact@southcarolina.betterinvesting.net.
www.betterinvesting.org/sc

TEXAS
West Texas
9 a.m. – noon, May 12
Online
Annual Meeting and Election. This will be our election of chapter directors. There will also be an educational event and recognition of the anniversaries of our local investment clubs. Doug Gerlach will be presenting our educational program. Invite your friends and join us online for this event with an opportunity to win door prizes. Cost: free. Register for the online option at the website below. Scroll down to the May board meeting and click the registration button.
www.betterinvesting.org/westtex

INVESTOR EVENTS

COLORADO
Rocky Mountain
6:30 p.m. – 9:30 p.m., March 16
Online
Evaluating Mutual Funds and ETFs. We'll start with basic terms used in mutual funds and ETFs, followed by an approach to screening for funds, criteria to enter into a screener and how to evaluate the results. Using Morningstar data sheets, we'll look at metrics for individual funds and how to get the most from the info provided. We'll also discuss the importance of diversification in selecting funds, with examples of diversified portfolios for various risk levels. Includes an online demonstration. Taught by Ralph Futch and Lois Krause, longtime members and instructors with the Rocky Mountain Chapter. Cost: $41. Register: See website below.
www.betterinvesting.org/rockymountain

FLORIDA
North Florida
7:30 p.m. – 8:30 p.m., April 6
Online
Stock Investment Workshop. A sequence of sessions alternating between bringing the beginner investor in individual stocks up to speed with Tips, Tricks and Techniques for those more experienced. Topics will be chosen from those requested prior to the event. Experienced instructors. Cost: free. Register: see website below. Contact: Dan Harter, biscc.bod@gmail.com.
www.betterinvesting.org/space

IDAHO, MONTANA, OREGON, WASHINGTON
Inland Empire
OHIO
Northwest Buckeye
TEXAS
Houston and West Texas
8:30 p.m. – 9:45 p.m., March 31
Online
Stock Investing Made Easy Webinar Series — March. Quality webinars taught by Avi Horwitz, are coming your way. Watch your Inbox for the registration links coming soon. Mark your calendar for the other webinars planned in this series: Thursday, April 29 and Tuesday, June 29. Register at websites below.
Cost: free. Contact: contact@inlandempire.betterinvesting.net. Or contact: Kaye Short, contact@nwbuckeye.betterinvesting.net; or president@houston.betterinvesting.net.
www.betterinvesting.org/inlandempire
www.betterinvesting.org/nwohio
www.betterinvesting.org/houston
www.betterinvesting.org/westtex

OHIO
Northeast Ohio
10 a.m. – noon, April 17
Online
Two Timely Investment Classes by Doug Gerlach. With vaccines on the way and the economy in rebound, how might the stock market perform through 2021? Session One — Common Pitfalls Investors Should Avoid. What are you doing with your overvalued stocks? The market is at an all-time high, so there's no better time to learn signs of underperformers or identify companies with declining fundamentals before the price declines! Session 2 — The Smartest Moves Investors Might Make Now! Hear about interesting stocks to consider in today's COVID-19 environment. Understand the outlook for the economy and market for 2021. Cost: $20. Register at website below. Contact: Kathleen Richards by email at Kathleen-richards@neo.rr.com.
www.betterinvesting.org/neohio

PENNSYLVANIA
Philadelphia
10 a.m. – noon, April 24
Online
Celebrating Financial Literacy Month. Learn how to plan your financial future and get comfortable with investing. Utilize the Free Library of Philadelphia resource tools such as Morningstar and Value Line in your investment journey. Open to the general public. Cost: free. Register at the website below.
www.betterinvesting.org/philly

PENNSYLVANIA
Philadelphia
9 a.m. – 3 p.m., June 19
Online or if conditions permit in-person at Giant Community Center at Willow Grove Super Giant Food Store
315 York Road, Willow Grove
Stock Investing Using Fundamental Analysis (SSG). Cost: $15. Register at the website below. Contact: Gloria Mankonen, 215/796-1214 or email contact@philly.betterinvesting.net.
www.betterinvesting.org/philly

Reviewing Stock to Study, Undervalued Selections

McDonald's Corporation; The Goldman Sachs Group, Inc.

by Kevin Lamiman, Contributing Editor

STOCK TO STUDY

McDonald's Corporation
Ticker: MCD

Company description: McDonald's generates revenue through company-owned restaurants, franchise royalties and licensing pacts. Restaurants offer a uniform value-priced menu with some regional variations. The company reorganized in recent years, refranchising 4,000 company-owned locations and eliminating $500 million in net annual expenses. McDonald's is focused on its "Accelerating the Arches" plan: optimizing its marketing approach; emphasizing its core menu; and doubling-down on digital, drive-thru and delivery efforts.
Price at time of selection: $120.66
High price during past five years: $231.91
Closing price 5 years later: $211.03
Total return at 5-year price (including dividends): 108.1%
S&P 500 5-year total return: 105.9%
Value Line long-term earnings growth estimate when featured: 4.5%
Consensus long-term earnings growth estimate when featured: 10.0%
Five-year sales growth rate: (5.6%)
Five-year EPS growth rate: 5.2%
Five-year pretax profit on sales: 33.7%
Five-year return on equity: not meaningful
Comment: The potential of turnaround initiatives such as extended, all-day breakfast offerings and a simplified domestic menu were among the reasons McDonald's was selected as the Stock to Study for April 2016. With a five-year total return of 108.1%, McDonald's exceeded the Stock to Study goal of a doubling within five years.

UNDERVALUED

The Goldman Sachs Group, Inc.
Ticker: GS

Company description: Goldman Sachs is a leading global investment banking concern. Its activities are organized into four segments: investment banking (about 20% of net revenue), global markets (40%), asset management (25%), and consumer and wealth management (15%). Approximately 60% of net revenue is generated in the Americas; 15% in Asia; and 25% in Europe, the Middle East and Africa.
Price at time of selection: $220.13
High price during past 18 months: $309.41
Closing price 18 months later: $293.75
Total return at 18-month price (including dividends): 43.9%
S&P 500 18-month total return: 28.0%
Value Line long-term earnings growth estimate when featured: 8.5%.
Consensus long-term earnings growth estimate when featured: 3.0%.
Most recent quarter sales growth: 16.6%
Most recent quarter EPS growth: 157.6%
Comment: Management's efforts to diversify with more consumer-oriented banking services to boost the company's long-term prospects included introduction of its first credit card in partnership with Apple (AAPL). The initiatives were key factors in the selection of Goldman Sachs as the Undervalued Company for October 2019. Its total return of 43.9% was well above the 20% goal for an Undervalued Company over an 18- to 24-month period. *No investment recommendations are intended. The author doesn't directly hold shares in these stocks.*

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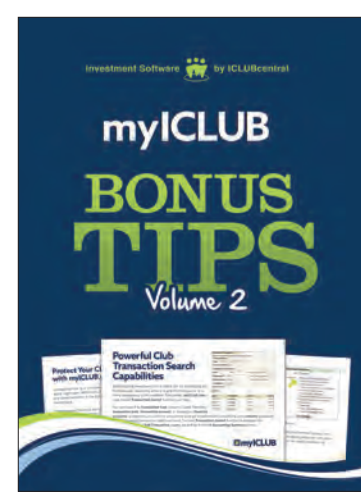

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